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OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

FINLAND

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JUNE 1969

BASIC DATA ON FINLAND

AREA AND POPULATION

Area (1 000 sq. km.)	337
of which : Cultivated land	31
Forests	240
Lakes	32
Total population (end of 1967)	4 676 000
Per sq. km. of land area	15.3
Average 1962-66:	
Live births (per thous.)	17.5
Deaths	9.4
Net natural increase	8.1
Net increase of population	7.3

Population in major cities (end of 1966)	
Helsinki	519 200
Tampere (Tammerfors)	147 500
Turku (Abo)	145 600
Urban population (per cent of total)	48
Man-Power by industry (per cent, 1967)	
Agriculture and forestry	27
Industry and construction	34
Commerce	14
Transport and communications	7
Services	18

PARLIAMENT AND GOVERNMENT

Composition of Parliament	
No. of seats, elections 1966	
Democratic League	42
Social-Democratic Union	6
Social-Democratic Party	55
Small Holders Party	1
Centre Party	50
Liberal Party	8
National Coalition Party	26
Swedish Peoples Party	12
Total	200

Government, from 22nd March 1968 (No. of Ministers)	
Democratic League	3
Social-Democratic Union	1
Social-Democratic Party	6
Centre Party	5
Swedish Party	1
Prime Minister: Mauno Koivisto	
Next election	1970

PRODUCTION

Gross Domestic Product 1968 Mk. mill.	33 721
GDP per head, US dollars at exchange rate 1$ = Mk. 4.20	1 710
Gross fixed asset formation 1968 per cent of GDP	22.7

Gross Domestic Product by Industries 1968 (per cent):	
Agriculture and forestry	15.5
Industry and construction	38.9
Commerce	9.8
Transport and communication	7.5
Services	28.4

THE PUBLIC SECTOR

Public consumption 1967, per cent of GDP	15.7
Gross fixed capital formation 1967, per cent of GDP	
General government	5.3
Public enterprise	2.3
Public corporations	2.1

General government revenue and expenditure 1968: Mk. mill.	
Current revenue	12 065
Current expenditure	9 248
of which : consumption	5 501
transfers	2 763
subsidies	972

LIVING STANDARDS

Calories per head, per day 1964-65	2 950
Proteins, per head, per day, gr.	91
Number of dwellings completed, Av. 1964-65, per thous.	7.8

Consumer goods, per thous. (1967)	
Cars registered	118
Telephones	203
Television licences	192
Radio licences	356

FOREIGN TRADE

Exports of goods and services, per cent of GDP, 1968	24.8
Merchandise exports 1968, per cent	
Agricultural products	4.7
Round and hewn timber	0.8
Wood products	16.9
Pulp and paper	43.6
Metal products, etc.	22.8
Other goods	11.2

Import of goods and services, per cent of GDP 1968	23.1
Merchandise imports 1968, per cent	
Raw materials, etc.	44.9
Fuels and lubricants	13.1
Investment goods	22.8
Consumer goods	19.3

Monetary Unit: Markka

Currency units per US $ (from 12th October 1967) 4.20

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FINLAND

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

The annual review of Finland by the OECD Economic and Development Review Committee took place on 14th May 1969. The present Survey has been updated subsequently.

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INTRODUCTION

Finland became the 22nd Member of OECD at the beginning of this year. With an area of 337 000 square kilometres, her size is about the same as that of Italy. But with a population of 4.7 million, she is one of the least densely populated Member countries (14 per square kilometre). Nearly a tenth of the country is covered by inland waterways and lakes—numbering, it is supposed, 60 thousand—while forests cover 70 per cent of the land area. The forests are Finland's main natural asset; the waterways provide power and easy transportation for forestry industries. Economic progress since the war has been rapid: 48 per cent of the population now live in urban areas and income per head is about the average for OECD countries in Europe.

Finland has close historical links with her two main neighbours. An integral part of the kingdom of Sweden for many centuries, she became after the annexation of 1809 an autonomous Grand Duchy under the Russian crown. Finland achieved independence in 1917, and adopted a republican constitution in 1919. Under the constitution, legislative power is exercised by Parliament and the President; the chief executive power, by the President. The two hundred seats in Parliament are shared by six or so main political parties, and in no election has one party yet got half the seats. Most governments have been coalition governments, though seven of the twenty-one post-war administration have been minority governments.

Finland faced great problems after the war. There had been heavy war destruction, and the peace settlement involved not only a large cession of territory and reception of the displaced population, but also heavy war reparation payments which extended over eight years. Despite these difficulties, output per head regained its pre-war (1938) level by 1948. Exports have continued to grow rapidly—partly as a result of world demand for pulp and paper; partly because of trade agreements with Eastern Europe; and partly through the development of new exports to EFTA and other countries. During the last two decades Finland has been one of the fastest growing economies of Western Europe; and in the process the economy has been progressively industrialised and diversified.

The extensive social security system which has been developed, as in other Nordic countries, provides support i.a. for the old, invalids and sick,

and for families and children; social transfers now amount to one-seventh of the national income. Education and research take a large part of government consumption expenditure. The level of education is high—compulsory schooling extends to 16, one-third of young people continue education to 19 and one-tenth go on to university or other higher education.

There was serious inflation in the early post-war years and it has continued to be more rapid than in most OECD countries. The last devaluation in 1967 was the fourth since 1948. Developments since 1967 have, however, been favourable. Incomes policy has succeeded in braking the rapid rise in nominal incomes; and last year the balance of payments improved, demand expanded and unemployed resources were absorbed.

I GROWTH AND STRUCTURAL CHANGE

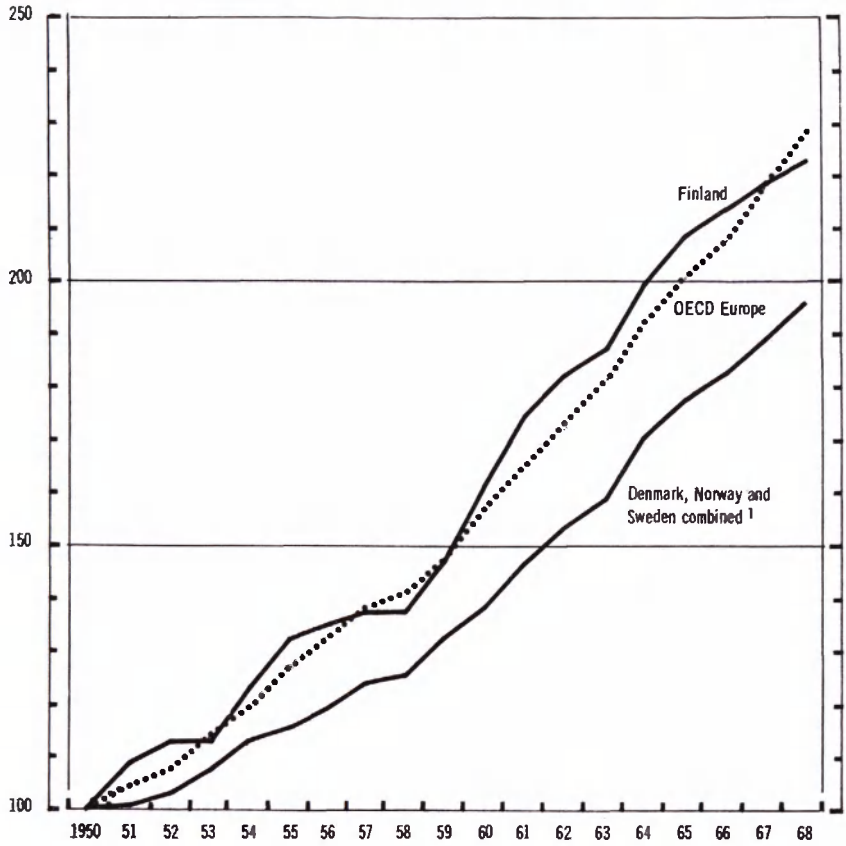
Growth

The rapid recovery of activity in the early post-war period represented enormous effort and sacrifice. Finland lost 10 years of normal economic growth during the war. After the war 12 per cent of its territory and productive capacity was ceded to the Soviet Union. About 15 per cent of the population had lived in this area and had to be resettled in Finland. Unlike most other Western European countries, Finland received no economic aid; on the contrary, during the eight years ending 1952 reparation deliveries totalling $570 million (in 1952 prices)—about a quarter of 1948's gross national product—were made to the Soviet Union. Most of these indemnities were paid out of Finland's own production: net foreign borrowing over the eight-year period amounted to about $100 million. Finland, however, benefited greatly from an improvement of her terms of trade.

The recovery effort entailed a high rate of investment. Although the absolute level of domestic output was low in the first post-war years, the ratio of fixed investment to GNP was 22 per cent. This, together with the war reparations, meant that consumption had to be severely restricted. In real terms, private consumption per head in 1948 may have been about half of what it is today.

Since 1948 GNP has increased at an average annual rate of about 5 per cent, rather faster than the average for OECD countries combined but roughly in line with the performance of OECD Europe. The growth of exports was the main dynamic element in the expansion. Merchandise exports—although the year-to-year advance was somewhat irregular—between 1954 and 1968 rose at an average annual rate of 8 per cent (in dollar terms), about the same as the average for OECD countries.

Diagram 1 **Long-term Trends in GNP**
Volume indices, 1950 = 100



1 1958 exchange rates.

Sources: National Accounts of OECD Countries 1957-1966, Statistics of National Accounts 1950-1961 and national publications.

The expansion has been helped by an abundant labour supply. The growth of the population of working age (15-64 years) has been relatively fast (1 per cent per year between 1950-1968), and the movement of labour out of the large agricultural sector has meant that the non-agricultural labour force has risen rapidly (2½ per cent per year) despite a fairly steady net emigration of some 3 000 persons a year, mostly to Sweden. Output per employed has risen by 4 per cent per year, roughly the same as the average for OECD-Europe. Gross fixed asset formation in the last decade has remained at about a quarter of GNP.

Change in Industrial Structure

Expansion has been accompanied by rapid structural change. In 1948, agriculture and forestry (a vocational combination typical in Finland) accounted for about one-third of total output and employed more than 40 per cent of the labour force. (200 000 farmers and their families coming from the territories ceded to the Soviet Union in 1944 had to be resettled; a large number of small farms were then established with State aid). By 1967, employment in agriculture and forestry had fallen by one-third—a major factor in the improvement of real income of those remaining in agriculture. The relative size of this sector remains higher than in most other industrialised countries. And output per man in agriculture is still relatively low; productivity in agriculture has, in recent years, increased roughly in line with the trend in industry, but the initial difference has remained.

Table 1 **Gross Domestic Product and Employment by Industries**

Per cent

	Gross domestic product (current factor cost)			Employment (man-years)		
	1948	1958	1967	1948	1958	1967
Agriculture, forestry, hunting and fishing	33	21	15	44	34	25
Mining, manufacturing and electricity supply	30	28	30	22	23	25
Building and construction	8	10	10	8	10	11
Transport and communications	6	7	7	6	7	7
Trade, banking and insurance	10	12	13	8	11	14
Public administration and defence	4	4	4	4	4	4
Other services	9	18	21	8	11	14
Total	100	100	100	100	100	100

Sources: Finnish National Accounts and Economic Survey 1968.

As in other countries, the service sector has been the main beneficiary of the relative decline of the primary sectors, increasing its share of total output from about 30 per cent in 1948 to about 45 per cent in 1967.

The manufacturing sector has grown about in line with GNP, and accounts for about one-third of total output and one-quarter of total employment. But there have been major changes within manufacturing. The engineering industries — relatively modest before the war — have thus grown especially rapidly. The goods demanded as war reparations necessitated a major development of these industries, and after 1952 exports of engineering products to the Soviet Union continued under bilateral trade agreements

Engineering exports to Western countries have also increased as their quality and competitiveness improved. Today the metal and engineering industry is the largest industrial employer and accounts for one-fourth of industrial output. Its most important products are machinery for the wood-processing industries, ships, lifting and hoisting equipment, transport equipment, electric motors, generators and cables.

The wood, pulp and paper industries maintain a dominant position, though expansion has been somewhat slower than total industry; their share of industrial production has fallen from about 25 per cent after the war to 20 per cent today. The fact that the volume of timber felling has reached the growth of the forest stock may have served partly to limit the overall expansion of the wood-processing industry, and partly to shift production towards higher degree of processing. As in many other industrialised countries, the relative importance of the textile, clothing and footwear industries has declined.

Although Finland is essentially a free market economy, government policy influences industrial developments in various ways. One key factor has been the agricultural policy and land settlement for people who lost their farms at the end of the war. Through import controls on agricultural products and price and income support to farmers, the authorities have aimed at a high degree of self-sufficiency for basic food products. Finland's output of dairy products and occasionally that of meat and eggs exceeds domestic requirements and she is self-sufficient in bread grain. But — partly because many small units were created under the resettlement programme —the farms are small, their average size being even smaller than in the 1930's. Since there is no longer scope for an expansion of total agricultural production, further improvement of farmers' incomes will depend on a marked decline in the agricultural labour force through higher productivity and thus, on the capacity of other industries to employ the labour released from agriculture. To stimulate the development of new industrial projects the Government, on certain occasions, has granted cheap loans and made direct contributions for the financing of business investment. Private enterprises have obtained loans from the World Bank against government guarantee. State-owned enterprises have been established in some sectors (iron and steel, chemicals, oil refineries, power production). In their guidelines to domestic banks and in controlling the intake of foreign long-term loans the monetary authorities give priority to the financing of exports and capital expenditure in exporting industries. Special tax allowances and interest rebates are granted to firms setting up in regions where industrial development is slow and the labour force under-employed. To facilitate the transfer of manpower from agriculture and forestry to other occupations the labour market authorities arrange for vocational retraining courses, grant removal allowances,

give advice on state housing finance and make contributions to firms' housing programmes for their workers.

Growth and Structure of Foreign Trade

Exports of goods and services now account for about a quarter of GNP and goods alone represent about one-fifth of GNP; on the import side the relationships are about the same. Both the commodity and the geographical pattern of exports have changed significantly in the post-war period (Table 2). Wood and paper products maintain a dominant position, but their share of total exports has fallen from over 85 per cent in 1950 to about 60 per cent in 1968, with a marked shift towards shipments of more highly-processed goods. The share of engineering products has increased markedly; the share of non-traditional manufactured products, though still relatively modest, has increased significantly over the last decade, reflecting increased exports of a wide range of products as a result of stronger marketing efforts and the progressive removal of barriers to international trade.

Table 2 **Exports by Main Types of Goods**

	Per cent of value			Annual change in volume, per cent		
	1950	1958	1966	1950/58	1958/66	1950/66
Agricultural products	4.1	4.3	5.5	14.0	8.5	11.0
Forestry products	10.0	7.8	1.2	0.5	—7.0	—3.5
Wood industry products	35.1	23.3	17.9	1.0	2.5	1.5
Paper industry products	41.6	46.5	47.7	7.5	9.5	8.5
Metal and engineering industry products	4.9	13.7	18.2	23.5	10.0	14.0
Other goods	4.3	4.4	9.5	13.5	28.0	20.5
Total	100.0	100.0	100.0	6.5	7.5	7.0

Source: Bank of Finland, Monthly Bulletin.

About two-thirds of Finland's foreign trade is with other European OECD countries, her main trading partners being EFTA countries. The share of the Eastern countries is about 20 per cent: trade with countries outside Europe is small. In Europe, Finland's main suppliers are Western Germany, the Soviet Union, Sweden and the United Kingdom, each accounting for a little more than one-seventh of total imports. On the export side the United Kingdom remains the biggest buyer of Finnish products (one-fifth), followed by the Soviet Union (one-seventh). In post-war years the

share of Western Europe in Finland's trade has been increasing, reflecting mainly a strong expansion of trade with Sweden. The shares of the Eastern countries have declined somewhat, although the Soviet Union has maintained its relative position.

The growth and change in the structure of foreign trade has of course been decisively influenced by foreign trade policy. Up to 1957, practically all foreign trade was conducted on a bilateral basis. After the devaluation in that year quantitative restrictions on imports from Western countries were gradually abolished; licensing is now maintained on only a few per cent of total imports, mainly agricultural products and mineral fuel. Finland has been associated with EFTA as from mid-1961, and has gradually abolished tariffs on imports of industrial goods from EFTA countries. Tariffs on imports from Western countries outside the EFTA area will decline over the next few years as a result of the commitments made in the Kennedy Round in GATT.

Table 3 **Foreign Trade by Areas**
Per cent

	Imports		Exports	
	1955	1967	1955	1967
EFTA countries	32.9	40.6	31.3	38.5
EEC countries	22.6	27.7	22.8	23.5
Other OECD countries	7.9	6.5	9.7	9.5
Eastern countries	26.8	20.4	24.2	21.2
Other	9.8	4.8	12.0	7.3
	100	100	100	100

Source : Finnish Foreign Trade Statistics.

About one-fifth of Finland's trade is conducted under bilateral agreements with Eastern countries[1]. The Soviet Union accounts for 80 per cent of the trade with the bilateral area. Trade between the Soviet Union and Finland is based on a treaty of 1947, a customs agreement of 1961 and trading agreements covering five-year periods. Finland exports mainly metal and engineering products, and imports crude oil, raw materials and some industrial goods. Finland has, unilaterally, abolished quota restrictions on 40 per cent of bilateral imports, the remainder still being subject to

1 Bulgaria, Czechoslovakia, Eastern Germany, Hungary, China, Poland, Rumania, Soviet Union.

licensing. Under the above customs agreement, tariffs have been abolished on imports from the Soviet Union on the same footing as for imports from the EFTA area. There is no system of multilateral payments settlements between the bilateral countries. Private business in Finland advises the authorities about their export and import plans before a trade agreement is concluded; its implementation depends upon subsequent direct contact between Finnish firms and the Soviet foreign trade authorities. Generally, the ability of Finland to absorb exports from the Eastern countries has been the limiting factor in Finland's bilateral trade, which, however, has expanded at about the same rate as trade with Western countries.

The Finnish authorities have sought by imports of capital to facilitate structural changes of the economy. In the years 1960-1967 capital imports (net) amounted to 6 per cent of gross fixed capital formation, or some 1 ½ per cent of GNP. Loans have been raised on international markets by the Government and private companies. Finland has borrowed from the World Bank and foreign direct investment in Finland is encouraged. In recent years, especially after the association with EFTA, the number of foreign establishments in Finland as well as Finnish establishments abroad have increased considerably, and closer co-operation between foreign and domestic companies has developed. Borrowing abroad and foreign direct investment in Finland are subject to government control; permission is given on the basis of considerations concerning their assumed effects on industrial growth and export performance. Usually applications for borrowing abroad have exceeded the loan transactions permitted.

II MANAGEMENT OF THE ECONOMY

The rate of inflation as well as cyclical fluctuations would seem to have been more marked than generally in developed Member-countries. The lack of stability can to a large extent be ascribed to fluctuations in foreign demand for Finnish exports, but certain features of economic policy may also have exerted a destabilising influence.

The Problem of Rising Prices

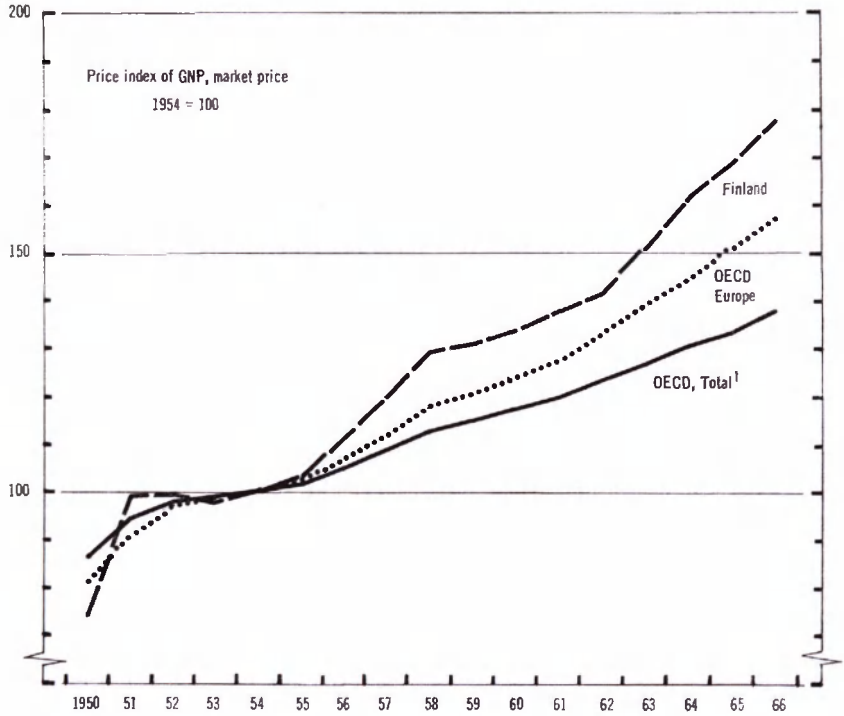
The development of prices has been irregular with gallopping inflation from 1945 to 1951, virtual stability in 1952-1955, steep rise 1956-1958, stability 1959-1962 and renewed upturn from 1963 to 1967.

In the early post-war years (1945 to 1949) the cost-of-living index rose by some 40 per cent a year. This reflected the pressure on ressources due to

reconstruction of the wardamaged productive potential and reparation payments; to an important extent high investment expenditure and war reparation deliveries were financed by an inflationary credit expansion: the rise in prices served to limit the growth of consumer spending in real terms. The Finnmark was devalued twice in 1949—once independently and once in line with the devaluation of other European currencies. The rise in prices remained strong in 1950 and 1951, but the steep increase in exports during the Korea boom (from $350 million in 1950 to $800 million in 1951) made it easier to absorb higher domestic incomes and prices.

From 1952 to 1955 prices were practically unchanged. Demand pressures eased in 1952-1953 when the Korea boom subsided and war reparation deliveries came to an end. From 1954, moreover, the Finnish authorities pursued a policy of repressed inflation with higher government subsidies to limit the rise in the cost-of-living index and legally-enforced ceilings on wage increases.

Diagram 2 **Trends in Prices**



1 Until 1956 excluding Japan.

Sources: National Accounts for the OECD Countries and Finnish National Accounts.

Regulatory powers to control prices expired at the end of 1955. The 6 per cent rise in prices in the subsequent three months sparked off a strong price-wage spiral which lasted till mid-1958. A general strike lasting for 19 days in 1956, and the inflationary settlements which brought it to an end, reinforced the pressure on prices. The 1957 devaluation (28 per cent) led to a further immediate rise in prices, but the stabilisation measures taken in the spring of 1957 and the weakening of foreign demand in 1958 together with the liberalisation of imports served to ease demand pressures and the rise in prices levelled out. The primary source of inflation in the 1955-58 period would seem to have been cost pressures rather than excess demand conditions.

The period of price stability beginning in mid-1958 lasted for three years. Wage indexation was abolished at the beginning of 1959 and wages in 1959 probably rose only in line with productivity. But from 1960 onwards aggregate demand was allowed to rise sharply, with demand pressures becoming excessive in 1962 when unemployment fell to a very low level (just above 1 per cent). Then between 1962 and 1967 the GNP deflator rose by more than 5 per cent per year. Labour costs per unit of production rose relatively fast, and index-linking between wages, other incomes and prices again became an important factor. But excessive demand pressures may have been the principal factor behind the inflationary trend in this period. More stable conditions were not restored until the stabilisation agreement in March 1968.

Contra-cyclical Policy

Fluctuations in the annual rate of growth of real GNP have been more marked than in some other countries (Table 4). This can be largely ascribed to strong fluctuations in the growth of merchandise exports, reflecting the unstable world demand for wood, pulp and paper products which have a heavy weight in Finland's exports. But there has been little tendency for domestic demand to move in a contra-cyclical manner ; diagram 3 suggests that, on the whole, it has tended to vary in the same direction as the increase in exports, and the fluctuations have been relatively strong. This, though undesirable, is perhaps not surprising: an inverse variation is not easy to achieve in a country with a large foreign trade. For a rise in exports has a direct impact on domestic incomes which, in turn, influence domestic demand; and foreign demand is a major determinant of the business climate, affecting the propensity to spend of both investors and consumers.

The efforts made by the authorities to achieve a contra-cyclical movement of domestic demand do not, however, appear to have been very strong. The increase in real central government expenditure on goods and services has

Table 4 **Fluctuation in Growth**
Finland compared with other countries

	Merchandise exports, $ values		Gross Domestic Product (Volume)	
	Average rate of change 1951-66	Average deviation	Average rate of change 1951-66	Average deviation
Finland	8.0	5.6	4.6	2.9
Denmark	8.1	2.5	4.2	2.4
Germany	12.5	4.0	5.1	1.7
Sweden	8.6	3.1	4.0	1.4

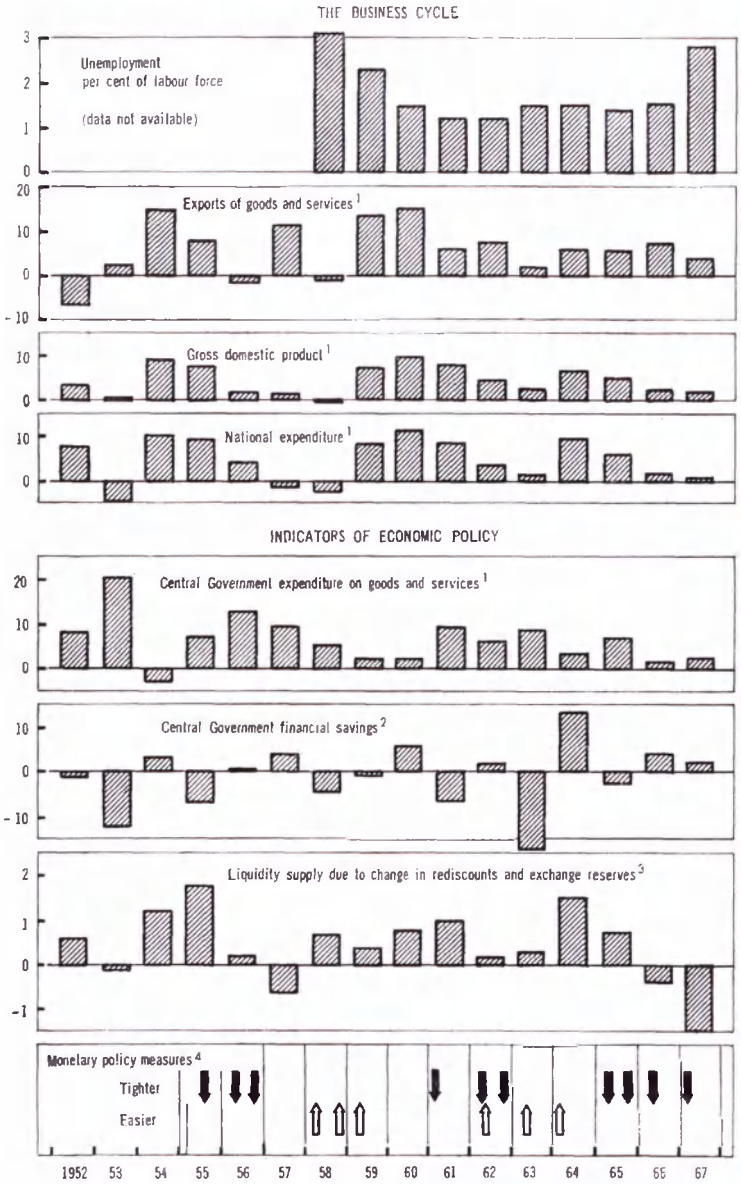
Source : OECD Foreign Trade Statistics, Finnish Bulletin of Foreign Trade and National Accounts

often tended to be strong when the expansion of activity and pressures of demand have been strong, and vice versa. Exceptions seem to be found in 1959 and 1963, when government spending exerted a stabilising influence on demand.

Financial savings, measuring the income effect of the budget, also show no clear anti-cyclical movement: over much of the period considered they seem to have moved in a destabilising manner. It has been a feature of Finland's post-war developments, that restrictive fiscal measures have tended to be too long delayed. As in other countries, prompt adjustment of fiscal policy to the needs of the economy involves a number of difficulties. Many items in the budget cannot easily be changed quickly. Moreover, in the early phase of an export upswing, the balance of payments tends to be strong so that there is no imperative need for action on external grounds. The political situation prevailing during the post-war period, with generally weak governments, has rendered the operation of an appropriate fiscal policy more difficult than in many other countries.

Monetary policy, less constrained by political and administrative factors than fiscal policy, has by and large been used in a contra-cyclical manner. There is no good single indicator of changes in monetary policy. Diagram 3 shows in a general way the posture of monetary policy, as indicated by the "direction" of the measures taken (restrictive or expansionary.) It suggests that, over most of the period, monetary action to dampen the cyclical swings in activity was taken at a relatively early stage of the cycle. But it is difficult to assess the strength of measures adopted. The movement of the supply of liquidity to the economy as a result of changes in the Central Bank's foreign exchange reserves and the volume of its rediscounts has, at least in certain periods, been strongly pro-cyclical, notably in 1954-55,

Diagram 3 **The Business Cycle and Economic Policy**



1 Percentage change (volume terms) from previous year, approximate estimates.
2 Change in balance on current and fixed investment account in per cent of current revenue.
3 In per cent of GDP in current prices. Adjusted for effect of export levy deposits.
4 Black arrows indicate a tightening, white arrows an easing.

Source : OECD Secretariat.

1960-61 and 1964. Official foreign exchange reserves rose in these periods, rather strongly in the first and third, and offsetting action by the monetary authorities seems to have been limited.

III THE 1967 DEVALUATION AND ACCOMPANYING MEASURES

In 1964 and 1965 there were large current external deficits: exports rose only moderately and there were sharp increases in imports. Several factors served to reinforce the rise in imports. Domestic demand rose rapidly and strengthened demand pressures. With growing incomes, domestic demand was directed more towards imports, now that trade barriers within EFTA had been removed. The strong rise in Finnish costs also contributed. In 1964, the current deficit was financed by capital imports. This became more difficult in 1965, when foreign capital market conditions became tighter, and Finland's external reserves fell sharply, necessitating corrective action. Monetary measures—notably a reduction of the bank's rediscount quotas with the Central Bank—were introduced at an early date, but major fiscal action was not taken until late in 1966.

As a result of more restrictive policies, the growth of domestic demand slowed down considerably in 1966 and 1967 and demand pressures eased. But the balance of payments remained difficult. After rising rather slowly in 1966 imports declined in 1967. The rise in exports, however, remained relatively modest, especially in 1967, when the expansion slowed down in

Table 5 **Selected Indicators of Economic Developments**

	1963	1964	1965	1966	1967
	Percentage change from previous year				
Gross domestic product *(volume)*	2.5	6.6	5.1	2.4	2.6
Exports of goods and services *(volume)*	1.9	5.8	5.2	7.0	5.9
Imports of goods and services *(volume)*	—1.9	19.2	9.2	4.8	—1.3
Average hourly earnings in industry	7.3	13.2	8.6	7.3	8.5
	Per cent				
Unemployment *(annual average)*	1.5	1.5	1.4	1.6	2.9
	$ million				
Balance on current external account	—20	—175	—190	—198	—143
Change in foreign reserve holdings	35	56	—88	—111	—31

Sources: National Budget 1969 and Monthly Bulletin, Bank of Finland.

many European countries. The reserves fell to little more than one month's merchandise imports by the end of 1966, and 1967 saw some further decline. With unemployment high, and little early prospect of a marked improvement of the balance of payments, more radical action was needed.

The 1967 Devaluation

On 12th October 1967, the Finnmark was devalued by 23.8 per cent in relation to the US dollar; this implied a rise of 31.25 per cent in the US dollar rate expressed in Finnmark. But as more than a quarter of Finland's exports goes to the United Kingdom and other countries whose currencies devalued later in 1967, the average rise in the rates of foreign currencies expressed in Finnmark was about 26 per cent. Between October and the end of 1967, Mark prices for Finnish exports and imports rose almost as much as the rise in foreign exchange rates.

A number of measures were taken to maintain the competitive edge resulting from the devaluation:

Price controls were introduced on a wide range of commodities;

A temporary export levy (of 14 per cent with certain exemptions) was introduced to limit the rise in incomes of the export industries, and thus their ability to increase wages and prices on their inputs (notably timber). The levy has been gradually reduced and was abolished in April 1969. Its yield was fixed at a maximum of Mk. 650 million (about $155 million). One third will be used for investment in public corporations and government enterprises, one third for the development of power production and storage facilities for standby stocks of fuel and one third for export credits, for investment credit for small and medium industrial enterprises and the promotion of manufacturing in other ways, and for forest improvement;

Certain import duties were abolished from the end of 1967 instead of more gradually as envisaged earlier[1]. Cash payments by importers for certain consumer goods (covering 20 per cent of total imports in 1967) were abolished so as to stimulate the inflow of short-term credits.

Incomes Policy

Incomes policy has been a key element in recent policy. Given the inevitable rise in import prices resulting from the devaluation and the wide

1 Duties on textiles and certain designated goods imported from EFTA countries benefited from a delayed tariff reduction schedule extending until 31st December 1969, whereas duties on most industrial products were to be abolished by the end of 1967.

use of escalator clauses in wage and income agreements[1], there was a clear danger that the effect of the devaluation would be whittled away by excessive increases in wages and other incomes. Negotiations with representatives of labour, employers, farmers and other interest groups were therefore initiated by the Government soon after the devaluation. Under the agreement reached in March 1968:

The trade unions agreed to forego the cost-of-living adjustment to which they expected to be entitled in December (estimated at 5 to 6 per cent), though they did not relinquish the 3.5 per cent automatic wage increase due in June 1968;

Wage increases should be limited to the rise in productivity, estimated at 3 to 4 per cent a year. For 1969 the agreement provided for an across-the-board increase of 16 pennies per hour, entailing a 3.5 per cent rise in the wage and salary rates. Farm target price adjustments should be limited to 2 per cent in June 1968 and 2 per cent in January 1969.

A main condition for the concessions made by the trade unions and the farmers was that index linkages elsewhere in the economy—including those applying to financial contracts—should be abolished, and that the Government should be authorised to control prices, rents and wages. The Economic Special Powers Act passed in April 1968 granted these powers, to be exercised in collaboration with a Prices and Wages Council on which trade unions, employers and other groups are represented. The law expires at the end of 1969, but index clauses will not automatically be re-introduced. The Government undertook not to raise tax rates during 1968 and 1969, and to keep its long-term borrowing in 1969 below Mk. 550 million. The agreement called for more macro-economic planning and for an evaluation of long-term growth policy.

At the end of March 1968, sales of government bond issues incorporating an index clause was suspended. The banks ceased to accept new deposits tied to the cost-of-living index, but most existing contracts remained valid to maturity, or at latest end of February 1969.[2] Banks are not allowed

1 The three-year wage agreements concluded in 1966, covering most wage and salary earners, included escalator clauses, and farmers' incomes were subject to adjustment in accordance with the rise in prices of products used by farmers in production and for own consumption.

2 The Government in 1953 started to offer bonds tied to the cost of living, the index clause typically prividing an increase in interest and capital repayments of about half the rise in the price index. Similar index arrangements spread rapidly to other financial claims, including bank loans and deposits, so that index clauses were a fairly typical feature in financial contracts during these 15 years. Mortgage institutions, which have acquired funds by issuing index-tied bonds or debentures, were allowed to maintain the index clauses in their old lending contracts. Index clauses also remain valid for life insurance policies and international agreements and contracts made before the enforcement of the Economic Special Powers Act.

to demand interest or other compensation in excess of the rates of interest applied by publicly supervised banking and insurance institutions. Moreover, an agreement was reached at the beginning of April that until the end of 1969 prices should be raised only with special permission from the Price Council. Rents were frozen at the February 1968 level, and any increase during 1969 has to be justified by higher costs.

Fiscal Policy

The 1968 Budget was designed to complement the devaluation, and to restrict private consumption so as to shift resources towards improving the balance of payments and higher fixed investment conducive to economic

Table 6 **Central Government Finance**

Budget and extra-budgetary funds

	1966	1967	1968	1969 est.
	Mk. million			
CURRENT REVENUE	6 565	7 126	8 391	8 680
Direct taxes	1 567	1 724	2 081	2 270
Indirect taxes[1] (including export levy)	4 351	4 802	5 602	5 640
Other revenue	547	599	708	770
CURRENT AND INVESTMENT EXPENDITURE	6 251	6 853	8 035	8 400
Consumption	1 824	2 070	2 468	2 580
Fixed investment	1 221	1 287	1 382	1 285
Transfers	3 206	3 496	4 185	4 535
FINANCIAL SAVINGS	214	273	356	280
Net long-term lending	—345	—380	—596	—685
Net long-term borrowing	441	26	272	215
Domestic	441	—60	141	..
Foreign	0	86	131	..
Export levy account at the Bank of Finland (increase —)	..	—14	—346	130
CASH BALANCE	310	—96	—314	—60
Memorandum item :	per cent			
Estimated volume change from previous year in expenditure on goods and services[2]	..	2.8	4.6	—2.5

1 Including employers' children allowance payments (contribution to social security).
2 Estimates of Ministry of Finance.
Source : Revised National Budget 1969 and Ministry of Finance.

growth. In addition to certain measures taken in the latter months of 1967 (increased taxes on tobacco and cars) there were further revenue increases. The changes in tax rates and norms were estimated to increase revenue by Mk. 760 million (2.3 per cent of GNP) of which Mk. 600 million resulted from the export levy. Expenditure on goods and services rose rapidly in 1968, largely because of higher wages, salaries and pensions. Transfer payments also increased considerably, on account of payments to the municipalities to cover expenditure on public health service and measures to stimulate employment. Net lending rose strongly, mainly because part of the receipts of the export levy was used for loans for the purposes listed above. Nevertheless, the budget probably had a restrictive effect in 1968. The financial surplus—a rough measure of the budget impact on private incomes—rose, probably restricting the growth of private demand.

The 1969 budget, on the other hand, will stimulate aggregate demand, chiefly because the export levy will yield less than in 1968, while disbursements of the funds will be much bigger. The rise in expenditure on goods, services and transfer payments, however, should slow down, (and fixed investment decline) as a result of the limitations imposed by the stabilisation agreement.

Important changes have been made concerning transfer payments to agriculture so as to reduce central government expenditure related to exports of surplus agricultural production and to promote structural change in agriculture and reduce the area under cultivation. Small farmers who cease to cultivate their arable land will be paid Mk. 250 per year for each hectar taken out of production; only farms with arable land up to 14 hectars are eligible, so that the maximum amount a farmer can receive will be Mk. 3 500 per year. It is expected that in the course of two years the cultivation of about 4 per cent of the arable land will be abandoned. Total transfer payments to agriculture are likely to fall because the decline in production will reduce subsidy payments related to the volume of output.[1]

1 Moreover on 23rd May the Government submitted to the Diet proposals for a new framework for determination of agricultural prices and incomes with the double aim of ensuring that farmers' incomes develop in line with that of wage and salary earners and reducing the surplus of some agricultural products.

According to these proposals:

(*i*) The agricultural prices will be adjusted automatically to compensate for rising costs of production;

(*ii*) The stipulated income from the farmers' own work shall be determined through negotiations between the farmers' associations and the Council of State;

(*iii*) Cost and price calculations will be based on the level of production in 1968. If this level is exceeded, the proposal provides for a certain reduction of the otherwise determined prices. In addition, a second proposal provides for the

Government loans to housebuilding will be increased by Mk. 110 million to Mk. 360 million in 1969 (i.e. by 44 per cent). Investment loans to government-controlled industry will also be increased while lending for other purposes will be restricted.

Monetary Policy and Developments

The banks are normally in debt to the Central Bank; variations in the volume of their rediscounting is the principal monetary policy weapon used by the authorities. If the rediscount ceiling is exceeded, a progressive penalty interest rate (maximum 4 per cent) has been applied on top of the rediscount rate (now 7 per cent). The Central Bank controls directly the average lending rates of the commercial banks. The average lending rates at present are 7.5, 7.9 and 8.1 respectively for commercial banks, savings banks, and credit societies. The Central Bank has at times imposed ceilings on bank advances and issued recommendations regarding the pattern of the credit expansion. Borrowing abroad by banks or others is regulated through general instructions and individual licensing. The bond market is small so there is little scope for open-market operations; at the end of 1966 outstanding bonds accounted for only 5 per cent of domestic credit, and bonds are usually held to maturity. The Central Bank regularly informs the credit institutions about the aims of monetary policy, and seek to reach mutual understanding on its implementation. In recent years bank advances have grown at a fairly stable rate of 10-12 per cent, corresponding to about 1.3 times the growth of GNP. On the other hand, banks' rediscounting in the Central Bank has fluctuated strongly.

The discontinuation of index-tied deposits has not appreciably affected savings in the form of bank deposits; the larger part of the funds freed from index accounts was transferred to high-interest accounts (12-months deposits). In the period March to December 1968, deposits on these accounts increased by Mk. 2 540 million. This shift increased the banks' interest expenditure considerably. The annual interest cost to the banks of index-tied deposits had been only 3 per cent per year, as the index compensations paid on these deposits were collected directly from the borrowers. On the other hand, the interest rate on high interest deposits was 6 per cent, so that the average interest rate paid by the banks on all deposits rose by approximately 1 percentage point. As the Economic Special Powers Act prohibits an increase in lending rates, the banks in agreement with the Central Bank

imposition of a charge, the size of which will depend on the amount by which the production of milk and wheat exceeds predetermined reduced levels.

The reading in the Diet of the Government's proposals was not finished when the present Survey was finalised.

decided to reduce interest rates as from 1st March 1969 from 6 to 5 per cent on 12-month deposits and from 4.5 to 4 per cent on shorter-term deposits. At the same time two new types of accounts were introduced: 6-month and 24-month deposits bearing 4.5 and 6 per cent interest respectively.

The improvement in the balance of payments following the devaluation entailed a strong increase in domestic liquidity in 1968, despite the restrictive monetary impact of the government budget. The banks' net indebtedness to the Central Bank fell by Mk. 240 million (30 per cent), and the money supply (currency outside the banks and sight deposits) increased by 22 per cent after a decline in the preceding year. The increase in bank liquidity reflected the modest rise in bank lending—only 6 per cent in 1968 against 8.3 per cent in 1967, while bank deposits rose by 12 per cent against 9.5 per cent in 1967.

In 1969 the liquidity positions of the banks and the private sector should continue to improve. The government budget may show a large cash deficit, the balance of payments is likely to remain in surplus, and the Central Bank's lending to non-banks is likely to increase as a result of Mk. 170 million lending to residential construction and industrial investment.

Table 7 **Money and Credit**
Change in balances during the year, Mk. mill.

	1965	1966	1967	1968
NON-BANK LIQUIDITY:				
Money supply	43	129	—31	488
Time deposits	1 040	1 239	1 101	1 205
CENTRAL BANK:				
Net foreign assets	—39	—368	—105	1 011
Rediscounts	192	275	—48	—250
Net credits to the private sector	—52	76	332	—77
BANKS:				
Total lendings	1 124	1 257	1 016	776
Total deposits	1 041	1 253	1 108	1 545

Source: Bank of Finland, Monthly Bulletin.

IV RECENT DEVELOPMENTS AND PROSPECTS

Developments since the 1967 devaluation have been generally favourable. The balance of payments improved markedly in 1968, and the rise in costs and prices was kept down to a minimum due to the impact of the sta-

bilisation agreement. Domestic demand was weak, and unemployment rose. This was probably a price that had to be paid for a successful devaluation, and by the end of the year domestic demand was recovering.

The Balance of Payments

The current account of the balance of payments changed from a deficit in 1967 to a surplus in 1968, the turnaround representing 2.5 per cent of GNP. The improvement was mainly due to a better trade account, favoured by the revival of foreign demand and weak home demand with capacity utilisation rates in industry relatively low. The invisible balance also improved somewhat.

Table 8 **Balance of Payments**[1]
US $ million

	1964	1965	1966	1967	1968
Export of goods	1 280	1 419	1 495	1 524	1 625
Import of goods	—1 505	—1 652	—1 732	—1 706	—1 599
TRADE BALANCE	—225	—233	—237	—182	26
Services	80	79	85	101	114
Transfers	—31	—36	—46	—62	—64
CURRENT ACCOUNT	—175	—190	—198	—143	76
Long-term capital, net	153	31	48	79	94
IMF drawings	—	—	—	63	—63
Other capital movements[2]	78	71	39	—30	35
OVERALL BALANCE	56	—88	—111	—31	142
Change in foreign exchange holdings, incl. IMF position					
Central Bank	56	—63	—100	—24	158
Other (mainly commercial banks)	..	—25	—11	—7	—16

1 At current exchange rates. The 1967 balance in national currency has been converted at the average rate $1 = 3.41 Mk.
2 Including errors and omissions.
Source : Bank of Finland, Monthly Bulletin and Economic Survey 1968.

From 1967 to 1968, merchandise exports rose by 11 per cent in volume (by 6.6. per cent in dollar terms, indicating some 4 per cent fall in prices expressed in dollars). As exports to the Eastern countries (accounting for a fifth of Finnish exports) fell somewhat, exports to other countries (mainly OECD countries) increased by about 9.5 per cent in dollar terms and some

13 per cent in volume. In 1968, total OECD imports increased by almost 13 per cent. However, more than half of Finland's merchandise exports went to OECD countries whose imports rose on average by only 6 to 7 per cent (other Nordic countries, UK, Italy). This suggests that Finland's export markets in OECD countries grew by around 10 per cent in 1968. Finland thus seems to have maintained her share of OECD markets in dollar terms and to have increased it in volume terms.

Though the devaluation represented an increase in exporters' gross margin of some 26 per cent, the export levy served to reduce the margin significantly. Initially the levy was up to 14 per cent, the average rate being about 11 per cent. As the levy was gradually reduced in the course of 1968, the average rate for the whole year may have been around 8 per cent. Exporters' margins were also reduced by the price increases on imported raw materials, etc. (5 to 6 per cent), and by the rise in wages (2 to 3 per cent). All in all, the export levy together with higher costs seems to have reduced gross margins by 15 to 17 per cent on average for the year as a whole, so that a gain of about 10 per cent remained, with an improvement in the course of the year as the export levy was reduced.

The development of export prices suggests that exporters reduced their prices in foreign currency after the devaluation only to a small extent. Indeed, between the third and the fourth quarter in 1967, export prices in domestic currency rose by 25 per cent, almost as much as the average rise in foreign exchange rates expressed in Marks (26 per cent), and in the course of 1968 the unit value index of exports tended upwards while the export price index changed little. This development may have been partly due to the facts that the immediate improvement in exporters' margins was relatively small and that foreign demand was generally strong. The gain in market shares therefore seems to have been due to increased sales efforts stimulated by higher profit margins rather than to a reduction of foreign currency prices.

In 1968, merchandise imports fell by 4 to 5 per cent in volume and more than 6 per cent measured in dollars. The decline probably reflected the slow advance in aggregate demand, but it is also likely that the change in relative prices resulting from devaluation led to some import substitution. From September 1967 to mid-1968, wholesale prices for imported goods increased by about 20 per cent whereas wholesale prices for domestic goods rose by around 11 per cent, entailing a relative decline in domestic prices generally of some 8 to 9 per cent. About one-third of total imports—consisting mainly of consumer and investment goods—competes with domestic products and is thus liable to be affected by the devaluation. From 1967 to 1968 the volume of imports of consumer goods fell by 13 per cent, with a particularly strong decline in imports of passenger cars, and that of investment goods by

more than 10 per cent. Over the same period private consumption was almost unchanged and fixed investment fell by about 4.5 per cent. Production in the consumer goods industry rose by 2 per cent and production in the investment goods industry remained almost unchanged. These developments point to import substitution, notably in the consumer goods area.

Table 9 **Unit Value Indices of Exports and Imports**

	1967					1968				
	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3	Q4	Year
Unit value indices (1962 = 100)[1]										
Exports	114	112	107	136	116	133	138	136	140	137
Imports	109	111	109	136	114	140	139	139	140	138
Terms of trade	105	101	98	100	102	95	99	98	100	99

1 Compiled by the Statistical Office of the Board of Customs.
Source: Central Statistical Office of Finland.

A devaluation is usually accompanied by a deterioration of the terms of trade. In Finland, the deterioration has been very modest. The unit value indices of exports and imports point to a 3 per cent deterioration between the third quarter of 1967 and the first quarter of 1968. But since then the terms of trade have improved, reflecting a rise in export unit values, so that by the fourth quarter of 1968 they were better than before the devaluation.

The services balance improved by $13 million and showed a surplus of $114 million in 1968, mainly reflecting a better tourist balance. In dollar terms, receipts from tourism rose by 31 per cent whereas travel expenditure abroad declined by 10 per cent. The change in relative prices resulting from devaluation and the modest increase in personal incomes may have been the main factors behind these developments. Net income from transportation fell somewhat measured in dollars. Net expenditure on interest and other transfers remained about unchanged (a deficit of $64 million).

The net inflow of long-term capital rose somewhat in 1968. Imports of long-term capital took place mainly through bond issues and in the form of other loans and commodity credits. At the end of 1968 Finland's long-term foreign debt amounted to $1 084 million, about 14 per cent of GDP. There was also a net inflow of short-term funds (including errors and omissions) following the outflow in 1967; the improvement was to a large extent due to the abolishment of cash payments of imports from the beginning of 1968. With the marked improvement in the balance of payments, the $62.5 million

credit obtained from the IMF in 1967 was repaid in 1968. Official foreign exchange holdings increased by $158 million last year while holdings of private banks fell by $16 million.

Domestic Demand and Production

Domestic demand fell by 1 per cent in real terms between 1967 and 1968. Public consumption rose, but private consumption changed little as the rise in household income in real terms was modest. Gross fixed asset formation fell by 4 ½ per cent, at about the same rate as in 1967, reflecting declines in residential construction and business fixed investment. Public investment rose slightly. Domestic demand seems to have recovered in the second half of the year. Business fixed investment probably turned up, stimulated by the favourable trend in exports, the better competitive position and growing profits. Housing starts also recovered in the second half, influenced by State and Central Bank lending for this purpose and generally greater availability of funds. Real GNP rose by only 2.5 per cent in 1968, as in 1967, with a somewhat faster increase in production in industry and forestry and a decline in building activity.

Table 10 **Gross Domestic Product and Expenditure**
Percentage change in volume from previous year

	1965	1966	1967	1968
Private consumption	5.4	2.6	2.1	0.2
Public consumption	5.2	5.1	4.5	4.1
Gross fixed capital formation	10.7	2.8	—4.4	—4.4
Change in stocks (including statistical discrepancy)[1]	4.6	3.6	4.7	3.8
DOMESTIC DEMAND	6.0	2.0	0.9	—1.0
Exports of goods and services	5.2	7.0	5.9	11.7
Imports of goods and services	9.2	4.8	—1.3	—3.3
GROSS DOMESTIC PRODUCT	5.1	2.4	2.6	2.5

1 Per cent of GDP.
Sources: Finnish National Accounting and National Budget for 1969.

Unemployment rose to 4 per cent in 1968. There was a rather strong decline in the number of employed, reflecting both cyclical and structural problems. Employment fell by 14 000 (7 per cent) in building and construction and by 7 000 (1.3 per cent) in industry, mainly as the result of cyclical influences. In addition, employment in agriculture and forestry declined by 30 000 (5 per cent), considerably faster than in the preceding year, although

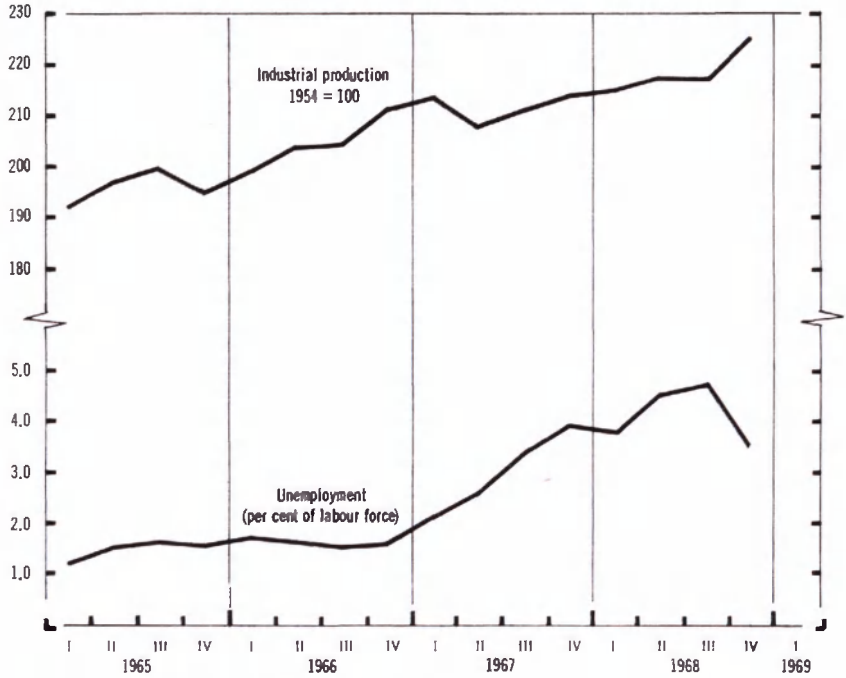
Table 11 **Gross Fixed Asset Formation**
Percentage change in volume from previous year

	1965	1966	1967	1968[1]
Building	13.9	0.8	3.7	—7.8
Construction	7.6	2.5	—3.5	1.6
Machinery and equipment	9.1	5.5	—14.1	—3.8
Total	10.7	2.8	—4.4	—4.4
Public	9.7	—1.7	1.5	1.1
Private	11.0	4.1	—5.9	—6.0

1 Estimate.
Source : Economic Survey 1968 and National Budget for 1969.

demand for labour in the rest of the economy was weak. As in earlier years, unemployment was relatively higher in the north than in the south (7 per cent and 3 per cent respectively at the beginning of the year). As the Government has declared its intention to refrain from expanding public works to

Diagram 4 **Production and Unemployment**
(seasonally adjusted quarterly figures)



Source: Economic Indicators for Finland.

alleviate the unemployment situation, employment in public construction was by and large unchanged from 1967 to 1968. Instead, unemployment compensation has been widened considerably.

The weak trend in industrial production in the first half of the year was replaced by a strong recovery in the last quarter, reflecting the revival of domestic demand. Unemployment, which had reached close to 5 per cent, seasonally adjusted, in the summer months, had declined below 4 per cent by the end of the year.

Wages, prices and incomes

The development of wages and salaries in 1968 was largely determined by the 3 year collective agreements concluded in 1966. Wages and salaries were increased by some 6 per cent at the beginning of 1968, of which half was an agreed rise and the rest index compensation for the increase in consumer prices during 1967. Another general wage increase of 3.5 per cent was effected in June. According to the provisions of the 1966 wage agreement, there should have been a new index compensation at the end of 1968 but, as mentioned earlier, this was foregone in the March stabilisation agreements. Taking into account a slight wage-drift, the general level of wages and salaries rose by some 12 per cent during 1968. On a year-to-year basis the increase was about 11 per cent. The total wage bill also increased by some 11 per cent.

With a productivity increase in manufacturing of some 4 per cent in 1968, unit labour costs measured in domestic currency rose by about 7 per cent. Over the five-year period 1963-67 unit labour costs increased by about 6 per cent a year, twice as much as in other European OECD countries if these are weighed according to their importance for Finnish foreign trade.

Non-wage income rose by about 9 per cent from 1967 to 1968. Farmers' income may have risen by some 15 per cent mainly in consequence of higher target prices for agricultural products. In accordance with the stipulations in the Agricultural Price Act, target prices were raised by 5 per cent in September 1967, and by 7 per cent in March 1968. The second adjustment in 1968, an increase of 2 per cent, was effected in June in accordance with the stabilisation agreement. The nominal income from forestry of private forest owners rose by 9 per cent in 1968; in the 1967/68 season fellings were low and prices declining, but both were on a strong upward trend again by the end of 1968. Income of other unincorporated enterprises rose by 9 per cent and corporate profits also by 9 per cent. The interest and rent income increased by 7 per cent.

Table 12 **The Cost Push**[1]
Percentage change from previous year

	1966	1967	1968
Total cost impact	4.3	6.3	11.5
of which due to:			
Compensation of employees	3.0	3.0	3.5
Income of farmers and private forest owners	—0.2	0.1	0.9
Indirect taxes (including the export levy)	0.9	1.0	1.5
Import prices	0.1	1.2	3.8
Other factors	0.5	1.0	1.8

1 The changes for unit of output of each component are weighted with the component's share of GDP
Source : Economic Survey 1968.

The increase in import prices following the devaluation was rapidly reflected in domestic prices, and the upward price trend was strengthened by the increase in wages. During the first months after the devaluation consumer prices rose at an average rate of one per cent per month, and wholesale prices showed a similar increase. After the introduction of the price freeze in March, the price rise was dampened, and since mid-1968 consumer prices have remained virtually stable. During 1968 the cost-of-living index rose by 6 per cent and the increase in the average level from 1967 to 1968 was 8.7 per cent.

The rise in prices and wages was reflected in the costs of production. The price index for total domestic product (GDP deflator) increased by 8.7 per cent in 1968. Table 12 shows the main factors contributing to the rise in costs of total output over the last three years. In 1968, increases in wages and salaries and in import prices each contributed about one-third to the total rise in the cost of output.

The nominal income of households is estimated to have risen by a little over 10 per cent in 1968. As consumer prices rose by 8.7 per cent the increase in real income was only 1-2 per cent. However, private real consumption was unchanged from 1967 implying a slight fall in the per capita consumption, and pointing to some increase in the personal savings ratio.

Prospects

Prospects for 1969 would seem to be favourable. The rise in exports is likely to remain strong, and with domestic demand recovering, activity should rise fast and lead to a decline in unemployment without endangering the balance of payments. And with the incomes agreement in force to the end of the year, the rise in costs and prices should remain moderate.

The authorities expect the rise in the volume of merchandise exports to slow down somewhat, from 11 per cent in 1968 to 10 per cent in 1969 whereas the value increase is estimated at 12 per cent. This is probably more than the likely growth of Finnish foreign markets this year. Total OECD imports may rise by 10-11 per cent in 1969, but import demand may be weaker than this in some of Finland's most important markets—notably the United Kingdom—so that Finnish OECD markets could grow by some 8 per cent. However, there are reasons to expect some further devaluation effects, given notably the fact that the export levy was abolished in April. Moreover, a favourable development of costs during 1969 should contribute to a further improvement of the export industries' competitive position. The volume of export orders on hand at the beginning of 1969 was relatively high; a large part of estimated exports has already been sold. An increase in the value of merchandise exports of some 12 per cent could therefore very well be attainable. Exports of wood and paper industry products are expected to rise less than this (some 8 per cent) whereas exports of engineering products are forecast to grow much more rapidly (by 25 per cent). Exports of services may increase slightly faster than that of goods; there will be important additions to the merchant fleet in 1969 and the devaluation could have a further favourable effect on tourist earnings.

The Finnish authorities envisage a strong recovery of business fixed investment in the course of the year. Capacity utilisation rates are increasing, profit margins have improved considerably and prospects for stronger growth of activity are favourable. The financing of fixed investment should not be a problem. The abolition of the export levy will increase the cash flow of export industries and a large amount of export levy funds collected by the Government in 1968 will be used for investment purposes in 1969. In volume, fixed investment in machinery and equipment is expected to be some 20 per cent higher than in 1968, whereas investment in non-residential buildings could increase by around 13 per cent.

Housebuilding picked up in the latter part of 1968 and is forecast to increase by more than 10 per cent in 1969, supported by higher Government and Central Bank lending and by easier credit conditions in general. Although the expected rise in residential construction may bring the number of completed dwellings up to 40 000, the house-building programme will still fall short of official long-term aims. On the above assumptions total private fixed investment should rise by 16 per cent in 1969. Given the restrictions imposed on budgetary policy by the stabilisation agreement, and given the fact that private investment is likely to recover strongly, the appropriations for central government investment have been reduced, entailing a slight fall in public investment in real terms. All in all, total fixed investment should increase by 12 per cent.

Table 13 **Prospects for GDP in 1969**

	Mk. mill. 1968	Percentage change in volume from previous year 1968	1969
Private consumption	18 717	0.2	4.0
Public consumption	5 500	4.1	4.4
Gross fixed asset formation	7 641	—4.4	12.0
Private	5 849	—6.0	16.0
Public	1 792	1.1	—1.0
Change in stocks (incl. statistical error)	1 280	3.8[1]	4.1[1]
Domestic demand	33 138	—1.0	6.2
Exports of goods and services	8 360	11.7	9.5
Imports of goods and services	7 777	—3.3	10.5
Gross domestic product	33 721	2.5	6.0

1 Per cent of GDP.
Source: Ministry of Finance.

Public consumption may increase at about the same rate as in 1968, 4 to 4 ½ per cent. Taking account of the fall in public investment, total public demand for goods and services should increase by only 3 per cent (as in the previous year), a stabilising feature in a year when exports and private domestic demand are rising strongly.

The collective agreements in force for 1969 point to a 5 per cent rise in negotiated hourly rates this year. With relatively slack labour market conditions, wage-drift is likely to remain moderate, perhaps of the order of 1 per cent. The paid labour force may increase by some 3 per cent, so that the total wage bill could rise by 9 per cent. Employers' contributions to social security arrangements will increase somewhat more (12 per cent) as a result of the additional benefits agreed to in an appendix to the stabilisation agreement. Non-wage income is likely to rise faster than wages and salaries. The increase in farmers' income may be only 2 per cent, in line with the rise in agricultural prices, but income of private forest owners could rise by some 25 per cent. With the rise in costs moderate, and price controls dampening the extent to which they are passed on to higher prices, consumer prices may rise by less than 2 per cent in the course of the year, implying a price rise between 1968 and 1969 of 2 ½ per cent. With the predicted development of nominal incomes and prices and with no major changes in taxation, the real disposable income of households is likely to increase by some 6 per cent. As consumer spending is likely to respond to the advance in income with some lag, private consumption is expected to increase by 4 per cent in 1969.

The rise in aggregate demand is likely to be accompanied by a sharp recovery of imports. The import content of investment in machinery and

equipment, which is likely to increase rapidly, is high (about 50 per cent); it may be even higher in 1969 due to some bunching of deliveries of ships and aircraft. Imports of cars are also likely to rise strongly in 1969, following a sharp fall in the previous year owing to price rises resulting both from the devaluation and higher taxation. The authorities expect imports of other consumer goods to rise by 6 per cent—somewhat more than private consumption. Merchandise imports in 1969 are estimated to exceed the 1968 level by 11 per cent in volume. The rise in imports of services should be somewhat slower.

On the above assumptions the authorities expect a 6 per cent increase in real GNP from 1968 to 1969, with particularly strong increases in industry (7 per cent) the building sector (12 per cent) and forestry (10 per cent). Production in agriculture and construction is forecast to remain at the 1968 level, while output in the service sectors is assumed to increase by 5 per cent. Productivity is thought likely to increase by 5 per cent. With employment rising by over 1 per cent and little increase in the labour force, the unemployment ratio could decline to under 3 per cent by the end of 1969.

The forecasts for exports and imports of goods and services point to a a current external surplus of the same order as last year, or about $70 million. As the capital account of the balance of payments may show a net inflow, a further strengthening of the reserve position seems likely.

V CONCLUSIONS

The devaluation has so far been a success. A major strengthening of the balance of payments has been achieved, the rise in prices and costs has been kept under control, and activity is recovering rapidly after several years of slow growth and rising unemployment. The improvement of the balance of payments has been facilitated by relatively favourable external conditions with strong foreign demand for Finnish exports. But the restoration of better internal and external equilibrium would not have been possible without an active stabilisation policy. The fiscal and monetary restrictions imposed on the growth of domestic demand in 1968 have contributed importantly to the rapid and significant shift of resources to the balance of payments. Incomes policy has clearly been the key element behind the stable movement of costs and prices, enabling the maintenance of the competitive advantage resulting from the devaluation.

Short-term prospects would also seem to be favourable. The official forecast reviewed above suggests that developments during the rest of 1969 are unlikely to call for any major change in existing policies. But problems

may arise next year for incomes policy as well as demand management, and it is not too early to consider the nature of the policies that will be required.

The continued success in maintaining stability will to a very large extent depend on incomes policy. It would seem essential that an effective incomes policy should be continued after the existing agreements expire at the end of this year. Some modifications in the system now in operation may be called for. With fairly rigid regulation of prices, rents and incomes in force since early 1968, a loosening of the controls with some adjustment at certain points may be necessary. From the point of view of improving the resource allocation, some change in relative prices may have to be permitted, possibly entailing higher prices in certain areas. There could then be a danger that this would lead to a general rise in prices. It will be important to moderate any such effect so as to prevent a spiral of increases in wages, prices and farm incomes.

The stabilisation agreements concluded in 1968 represented a co-ordinated effort by all parties concerned at arriving at settlements compatible with the restoration of better price stability. It is important that this approach should be continued. Co-ordinated negotiations covering all major interest groups—enabling estimates to be made of the price effects of alternative sets of settlements—should provide better understanding of the real scope for non-inflationary income increases than successive settlements in individual sectors. Moreover, co-ordination should reduce the competitive element in income determination—the efforts made by individual groups to maintain or improve their relative positions—by reducing the need for individual groups to "protect" themselves against expected but unknown increases in incomes of other groups, and by producing understanding for possible special adjustments in certain sectors.

The 1968 stabilisation agreement included provisions relating to fiscal and monetary policies, according to which the authorities undertook not to raise taxes and charges and to keep the long-term borrowing of the Government in 1969 below Mk. 550 million, restricting severely the operation of a flexible demand-management policy. This may well have been appropriate in 1968 and 1969. But it would seem important that, in the future, the authorities should be free to use existing policy instruments to maintain a rate of growth of demand compatible with the maintenance of stable economic conditions.

It seems very probable that the strong expansion of activity with declining unemployment will continue into at least the first half of next year, given the momentum of the increase in domestic demand in 1969 and assuming "normal" growth of exports. This would seem an appropriate development as a margin of unused resources is likely to remain at the end

of the present year. There are, however, considerations which call for some caution in demand-management policy.

First, with continued strong expansion into 1970, the unemployment ratio is likely to fall towards 2 per cent. This would still be higher than in earlier years of expansion; during much of the 1960-65 period the rate was down to 1 ½ per cent. But it is possible that a return to that level of unemployment may be too ambitious in existing conditions, given the important regional and occupational differences in the unemployment situation. With an average rate of unemployment of 2 per cent for the country as a whole, the rate in the "south" would be much lower, perhaps close to 1 per cent; and the "south" accounts for about two-thirds of ouptut and tends to be the pace-setter in wage developments. An active manpower policy is being developed in Finland, but it will necessarily take some time for it to have a noticeable influence on frictional or structural unemployment. It may therefore be that the maintenance of reasonable price/cost stability will meanwhile require a somewhat higher average unemployment rate than in earlier periods of expansion. In any case, the risk of an excessive rise in costs and prices could clearly be reduced if the movement to a higher level of activity and a lower rate of unemployment was not too fast, so that bottlenecks and shortages of labour could as far as possible be avoided.

Second, with continued strong expansion of activity into next year, the surplus on the current account of the balance of payments may decline or disappear. This should not be a matter for serious concern if the deterioration of the current external balance was associated with a non-inflationary domestic situation in which productive investment was rising strongly. It may be reasonable for Finland to aim at some capital imports as a high rate of investment will be needed to create employment openings for the growing labour force and the labour released from agriculture and forestry. But it is obviously desirable to keep the current external deficit within reasonable limits. The marginal propensity to import is relatively high in Finland. One of the factors influencing it is the speed of the growth of aggregate demand. Balance of payments considerations may therefore also call for some caution with regard to the speed with which the margin of slack is being absorbed.

Economic policy is also faced with important structural problems. Fluctuations in exports, strongly influenced by the heavy weight of forest products, have been a destabilising factor in past years, putting heavy strains on monetary and fiscal policies. Although the share of forest products in merchandise exports is likely to decline, it will remain important for some time to come. There may therefore be need for a system which would reduce the fluctuations in incomes resulting from changes in exports. An export levy has been used on certain occasions to moderate income fluctua-

tions in the export industries. It may be a matter for consideration whether a more permanent arrangement is needed, under which levies would be paid into a fund in buoyant conditions and reimbursed in slacker periods.

In the post-war period considerable progress has been made in transforming the country from a predominantly primary producer to a highly industrialised economy. Nevertheless, the heavy weight of agriculture both in terms of ouput and employment is still an important feature of the Finnish economy. Excess production—exported at a loss—is a burden. Support to agriculture represents a heavy burden on the government budget. Important steps have recently been taken to accelerate the decline in the agricultural population; and as this process continues, this will both help to raise national income as a whole and to raise the average income for those remaining in agriculture. But this will increase the need for developing alternative sources of employment. Continued rapid expansion of the non-farm economy and an active labour market policy—with a major expansion of retraining facilities and measures to stimulate labour mobility—will be required.

Within manufacturing the natural resource base limits the further expansion of the use of wood for saw mills, pulp and paper-processing industries and increases the need for the development of higher processed goods in the paper industry and of new industries and exports. The diversification of industrial production and merchandise exports, reducing the one-sidedness of the existing patterns, would in any case have been desirable, but it clearly creates a number of problems both for the Government and private enterprise. Like many other countries, Finland's prospects for development depend a great deal on finding new export markets. Developments so far have been encouraging. With appropriate policies to maintain economic stability and competitiveness, there would be every reason to believe that Finland could develop an expanding trade with both East and West.

Annex

INSTITUTIONAL BACKGROUND

THE MONETARY SYSTEM
GOVERNMENT FINANCE
LABOUR MARKET POLICY
ECONOMIC PLANNING

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ANNEX

INSTITUTIONAL BACKGROUND

The Monetary System

The Central Bank (Bank of Finland) is an autonomous public institution operating under the guarantee and supervision of the Parliament. The Government may borrow from the Central Bank only in exceptional cases and for specific purposes. The banking system further consists of six commercial banks, 350 savings banks, 470 co-operative credit societies and their central bank, six mortgage societies, and the Post Office Savings Bank; the latter only is owned by the State. Other principal financial institutions are the National Pension Fund and 62 private insurance companies.

Bank of Finland grants loans to private business in special cases. As a part of the stabilisation programme of March 1968 it was assumed that Bank of Finland would grant loans up to Mk. 100 million to investment purposes. Special credit facilities will be arranged for domestic producers to enable them to grant suppliers credit on an equal footing with foreign competitors.

State lending in recent years has amounted to an average of about Mk. 200-250 million annually (net of repayments). Its share of the total credit supply by banks and other monetary institutions has been declining from more than 20 to about 18 per cent. Government loans to housing cover about 30 per cent of all dwelling construction. Other borrowers from the State are the agricultural sector, the municipalities, State-owned companies, forestry, education and culture.

Finland has raised several loans in the World Bank for the financing of industrial projects and investment in infrastructure; new borrowing possibilities have recently been reopened in the Bank. To stimulate industrial growth the authorities aim at long-term capital imports to supplement domestic savings. A number of bond loans have been floated in international capital markets. Capital transactions with abroad (as well as direct investments) are regulated by the Bank of Finland.

Government Finance

The share of general government expenditure on goods and services in GNP, increasing in recent years, now amounts to a little less than one-quarter, almost equally divided between local and central authorities. Despite a strong rise in central government expenditure in most post-war years, particularly for public health, education and transport, the budget has generally shown a financial surplus. The total debt of central government is modest, about 12 per cent of GNP, or about half a year's current revenue.

Taxation and central government expenditure are approved by Parliament for each fiscal year (coinciding with the calendar year). The Government has no power to change tax rates without the prior approval of Parliament; however, it may change a few charges (tobacco, spirits) and prices for services rendered by government enterprises. Appropriations for fixed investment are transferable over four years and some budget items which are exceptionally difficult to forecast, may be exceeded, which allows some flexibility in government expenditure. Supplementary budget proposals are often submitted before Parliament in the course of the fiscal year. Recently the administration has started the work on 5 years budgets as a guideline for a longer-term policy.

Local authorities are free to stipulate their own tax rates but they may not raise loans of more than 5 years' maturity without the approval of the Ministry of the Interior. With big regional migration and changes in the relative importance of industrial sectors, the financial situation varies widely between municipalities. Income transfers from the Central government, increasing fast in recent years, account for between 15 and 20 per cent of their total revenue. The Government, according to the present law, has no power to control the finance of local authorities, apart from their long-term borrowing.

A system of tax-free investment reserves, very similar to the Swedish one, has been introduced in 1955. The reserves set aside have so far been modest.

Labour Market Policy

The Employment Department in the Ministry of Communications and Public Works is the central body responsible for the services of the employment agencies, the organisation of retraining courses, and vocational guidance. Its activities have been expanding fast. At present 5 000 persons are attending retraining courses and greater efforts are made to increase labour mobility by granting travelling allowances and state aid to house-building in industrial areas where there is a shortage of labour. A system

of consultations has been adopted with other branches of the government administration with a view to regulating to some extent public building and construction works to reduce unemployment during the winter season. A seasonal unemployment of some 17 000-20 000 persons (about 0.9 per cent of the labour force) receiving unemployment compensations, seems to be unavoidable, affecting workers engaged in farming, building activity, inland waterway traffic and harbours.

As a member of the Nordic Council Finland is a part of the common Nordic labour market. Net emigration from Finland has varied strongly; the average number of emigrants has been 3 000 annually. The main recipient country is Sweden.

Economic Planning

With the economy based on private enterprise, typically relatively small units becoming increasingly integrated with world markets, economic planning on the part of the Central government can be only indicative and of general guidance. State enterprises are not more widespread than in most European OECD countries and their decision-making on production, investment and marketing is fairly independent of the Government. Some big co-operating groups are found within wholesale trade and pulp and paper producers, but no single group or company is considered to be of dominating importance in the economy.

The Ministry of Finance prepares annual Economic Surveys covering recent developments and forecasts for the year ahead. To help plan public activity over the longer-term, the work on 5 year indicative budgets has been started. The Economic Council, presided over by the minister responsible for long-term economic planning, comprises representatives of the Government, the Central Bank and labour and business organisations. Its work will be dedicated mainly to long-term developments; a study for the years 1969/73 is to be published in 1969. Bank of Finland has a research department making short-term forecasting and studies on special economic topics. A Regional Development Board was established by government resolution in 1966, comprising members from different Ministries, city administrations and local authorities.

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STATISTICAL ANNEX

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Table A **Supply and Use of Resources**
Mk. million, current prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967
Consumers' expenditure on goods and services	7 377	7 709	8 367	9 195	10 102	11 053	12 051	13 710	14 983	15 861	17 116
General government current expenditure on goods and services	1 506	1 659	1 856	1 997	2 201	2 523	2 925	3 349	3 759	4 235	4 807
Defence	179	185	208	229	275	304	398	426	426	473	500
Civil	1 327	1 474	1 648	1 768	1 926	2 219	2 527	2 923	3 333	3 762	4 307
Gross fixed asset formation	2 920	3 218	3 587	4 325	4 932	5 159	5 269	5 757	6 705	7 142	7 219
Change in stocks	216	84	163	430	581	367	294	1 203	874	1 024	1 421
NATIONAL EXPENDITURE	12 019	12 670	13 973	15 947	17 816	19 102	20 539	24 019	26 321	28 262	30 562
Exports of goods and services (non-factor)	2 588	2 925	3 154	3 712	3 995	4 258	4 464	4 984	5 496	5 824	6 358
Imports of goods and services (non-factor)	2 582	2 641	3 048	3 835	4 186	4 504	4 462	5 450	5 989	6 309	6 635
GROSS DOMESTIC PRODUCT AT MARKET PRICES	12 025	12 954	14 079	15 824	17 625	18 856	20 541	23 553	25 828	27 777	30 285
Income payments from the rest of the world	10	11	21	29	36	26	25	28	38	34	36
Income payments to the rest of the world	38	49	39	46	67	73	95	129	170	184	245
GROSS NATIONAL PRODUCT AT MARKET PRICES	11 997	12 916	14 061	15 807	17 594	18 809	20 471	23 452	25 696	27 627	30 076
Indirect taxes	1 853	1 962	1 990	2 180	2 354	2 549	2 666	3 204	3 527	3 905	4 315
Subsidies	380	385	415	438	437	463	657	791	845	874	886
GROSS NATIONAL PRODUCT AT FACTOR COST	10 524	11 339	12 486	14 065	15 677	16 723	18 462	21 039	23 014	24 596	26 647
Depreciation and other operating provisions	1 035	1 196	1 350	1 618	1 834	1 902	2 056	2 268	2 454	2 567	2 859
NET NATIONAL PRODUCT AT FACTOR COST	9 489	10 143	11 136	12 447	13 843	14 821	16 406	18 771	20 560	22 029	23 788

Source : **Finnish submission to the OECD.**

Table B **Supply and Use of Resources**
Mk. million, 1954 prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967
Consumers' expenditure on goods and services	6 083	5 921	6 348	6 870	7 476	7 924	8 186	8 615	9 074	9 353	9 598
General government current expenditure on goods and services	1 157	1 197	1 284	1 330	1 390	1 526	1 633	1 711	1 801	1 893	1 979
Defence	138	136	150	158	179	189	241	243	221	234	231
Civil	1 019	1 061	1 134	1 172	1 211	1 337	1 392	1 468	1 580	1 659	1 748
Gross fixed asset formation	2 651	2 754	3 005	3 506	3 874	3 900	3 804	3 922	4 342	4 465	4 270
Change in stocks	43	—148	—75	83	67	—46	—112	580	545	435	456
NATIONAL EXPENDITURE	9 934	9 724	10 562	11 789	12 807	13 304	13 511	14 828	15 762	16 146	16 303
Exports of goods and services (non-factor)	2 188	2 170	2 458	2 825	2 991	3 218	3 280	3 471	3 651	3 907	4 137
Imports of goods and services (non-factor)	2 135	1 915	2 317	2 848	3 086	3 265	3 204	3 820	4 172	4 371	4 314
GROSS DOMESTIC PRODUCT AT MARKET PRICES	9 987	9 979	10 703	11 766	12 712	13 257	13 587	14 479	15 241	15 682	16 126
Income payments from the rest of the world	8	8	16	21	27	19	18	19	27	23	23
Income payments to the rest of the world	33	36	30	35	50	55	69	86	107	123	160
GROSS NATIONAL PRODUCT AT MARKET PRICES	9 962	9 951	10 689	11 752	12 689	13 221	13 536	14 412	15 161	15 509	15 989
Depreciation and other operating provisions	949	1 008	1 121	1 287	1 433	1 438	1 495	1 570	1 622	1 647	1 742
NET NATIONAL PRODUCT AT MARKET PRICES	9 013	8 943	9 568	10 465	11 256	11 783	12 041	12 842	13 539	13 862	14 247

Source Finnish submission to the OECD.

Table C **Gross National Product by Industrial Origin**[1]

Mk. million, current prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967
Agriculture, forestry, fishing	2 171	2 382	2 446	2 791	3 158	3 118	3 398	3 913	4 129	4 014	4 076
Mining and quarrying	64	74	94	97	104	101	109	145	173	177	193
Manufacturing	2 724	2 807	3 249	3 773	4 235	4 458	4 802	5 450	5 895	6 329	7 022
Electricity, gas and waterworks	304	345	372	411	458	509	561	594	639	730	783
Construction	992	1 094	1 191	1 314	1 444	1 565	1 733	1 960	2 230	2 418	2 636
Transportation and communication	806	844	916	1 043	1 130	1 237	1 332	1 533	1 672	1 790	1 917
Wholesale and retail trade	1 077	1 136	1 248	1 405	1 569	1 753	1 965	2 235	2 459	2 650	2 761
Banking, insurance	217	227	251	280	315	358	428	499	577	648	729
Ownership of dwellings	662	786	880	949	1 029	1 163	1 302	1 446	1 558	1 680	1 834
Public administration and defence	409	443	471	505	572	629	720	843	944	1 087	1 221
Health and educational services	656	739	838	911	1 025	1 144	1 340	1 574	1 801	2 016	2 339
Miscellaneous services	470	500	548	603	669	735	842	948	1 069	1 207	1 345
GROSS DOMESTIC PRODUCT AT FACTOR COST	10 552	11 377	12 504	14 082	15 708	16 770	18 532	21 140	23 146	24 746	26 856
Net income payments abroad	—28	—38	—18	—17	—31	—47	—70	—101	—132	—150	—209
GROSS NATIONAL PRODUCT AT FACTOR COST	10 524	11 339	12 486	14 065	15 677	16 723	18 462	21 039	23 014	24 596	26 647

1 According to OECD definitions.

Source : Finnish submission to the OECD

Table D **Gross National Product by Industrial Origin**[1]
Mk. million, 1954 prices

	1957	1958	1959	1960	1961	1962	1963	1964	1965[2]	1966[2]	1967[2]
Agriculture, forestry, fishing	1 904	1 973	2 019	2 225	2 338	2 244	2 228	2 411	2 368	2 225	2 231
Mining and quarrying	56	57	64	67	74	78	83	86	91	84	88
Manufacturing	2 469	2 375	2 609	2 956	3 237	3 410	3 522	3 783	4 019	4 224	4 347
Electricity, gas and waterworks	271	278	281	312	360	403	423	445	476	523	555
Construction	848	907	960	1 004	1 047	1 059	1 099	1 130	1 231	1 248	1 276
Transportation and communication	627	632	685	761	788	829	854	909	955	990	989
Wholesale and retail trade	968	927	1 039	1 153	1 256	1 352	1 399	1 483	1 589	1 627	1 656
Banking, insurance	187	194	212	232	245	268	281	294	312	325	342
Ownership of dwellings	376	394	410	428	451	475	501	524	546	570	596
Public administration and defence	295	302	307	314	333	345	352	366	380	404	419
Health and educational services	485	512	552	574	603	641	685	720	760	779	819
Miscellaneous services	380	385	407	433	455	466	493	519	546	567	585
GROSS DOMESTIC PRODUCT AT FACTOR COST	8 866	8 936	9 545	10 459	11 187	11 570	11 920	12 670	13 273	13 566	13 903
Net income payments abroad	—26	—27	—13	—14	—16	—34	—51	—67	—81	—94	—130
GROSS NATIONAL PRODUCT AT FACTOR COST	8 840	8 909	9 532	10 445	11 171	11 536	11 869	12 604	13 192	13 472	13 773

1 According to OECD definitions.
2 Change of weights from 1965.
Source : Finnish submission to the OECD.

Table E **Gross Fixed Asset Formation**[1]
Mk. million, 1954 prices

	1958	1959	1960	1961	1962	1963	1964	1965	1966	1967
Gross fixed asset formation, total	2 754	3 005	3 506	3 874	3 900	3 804	3 922	4 342	4 465	4 269
PRODUCT CLASSIFICATION										
Dwellings	564	588	697	824	926	952	863	940	988	997
Other buildings	566	584	692	736	631	648	761	908	876	934
Other construction and works	768	770	723	759	769	820	856	921	944	911
Other equipment	856	1 063	1 393	1 555	1 574	1 385	1 442	1 573	1 659	1 425
INDUSTRIAL CLASSIFICATION										
Agriculture, forestry, fishing	299	335	364	397	381	379	381	391	403	358
Mining and quarrying	18	17	22	17	17	10	13	17	28	17
Manufacturing	375	463	666	871	843	708	795	859	888	693
Construction	66	74	79	95	103	95	95	115	155	126
Electricity, gas and waterworks	242	270	284	252	239	245	199	237	218	188
Transportation and communication	658	685	757	742	762	784	836	930	901	908
Ownerships of dwellings	530	537	627	768	869	895	803	869	901	914
Public administration and defence	114	106	118	119	133	164	172	190	210	221
Other service industries and commerce[2]	452	518	588	613	554	525	628	734	763	840

1 According to OECD definitions, which do not include maintenance and repair.
2 Including banking and insurance.
Source : Finnish submission to the OECD.

Table F **Central Government Income and Expenditure**

Fiscal years = Calendar years

Mk. million

	1959	1960	1961	1962	1963	1964	1965	1966	1967	1968
CURRENT REVENUE[1]	3 304	3 705	3 936	4 408	4 522	5 732	6 404	7 146	8 051	9 262
Direct taxes on households	646	779	756	939	955	1 480	1 698	1 966	2 380	2 710
Direct taxes on corporations	356	375	424	476	482	512	568	607	626	686
Indirect taxes	1 980	2 169	2 342	2 537	2 656	3 193	3 516	3 891	4 304	5 053
Income from property and entrepreneurship	213	260	264	280	251	340	387	414	467	497
Other current transfers	109	122	150	176	178	207	221	255	263	302
Current transfers from the rest of the world	—	—	—	—	—	—	14	13	11	14
CURRENT EXPENDITURE[1]	2 376	2 568	2 915	3 232	3 924	4 439	5 056	5 656	6 421	7 466
Purchase of goods and services	812	885	1 026	1 146	1 382	1 554	1 698	1 881	2 125	2 463
Defence	208	229	275	304	398	426	426	472	478	576
Civil	614	656	751	842	984	1 128	1 272	1 409	1 647	1 887
Subsidies	415	438	437	463	657	791	845	874	886	972
Interest on the public debt	75	73	74	77	102	151	191	202	254	287
Current transfers	1 074	1 172	1 378	1 546	1 783	1 943	2 322	2 699	3 156	3 744
To other public authorities	316	348	395	414	510	558	631	787	907	1 130
To households etc.	756	822	979	1 127	1 268	1 380	1 683	1 903	2 238	2 601
To the rest of the world	2	2	4	5	5	5	8	9	11	13
NET CURRENT SAVINGS[2]	928	1 140	1 021	1 176	598	1 293	1 348	1 290	1 630	1 796
Depreciation and other operating provisions	62	71	79	90	102	106	119	134	153	179
GROSS SAVINGS[2]	990	1 211	1 100	1 266	700	1 399	1 467	1 624	1 783	1 975
Gross fixed asset formation	656	681	764	835	926	1 033	1 223	1 274	1 282	1 418
SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT (FINANCIAL SAVINGS)	334	530	336	431	—226	366	244	350	501	557

1 Including Social Security Fund.
2 Including Government Enterprises.
Source : National Accounts Statistics.

Table G **Balance of Payments**
$ million

	1962	1963	1964	1965	1966	1967	1968
Export of goods, f.o.b.	1 095	1 139	1 280	1 415	1 490	1 524	1 625
Import of goods, c.i.f.	1 230	1 208	1 505	1 647	1 726	1 706	1 599
TRADE BALANCE	—135	—68	—225	—232	—236	—182	26
Transportation	69	76	103	106	111	122	114
Travel	—35	—31	—36	—34	—30	—26	—2
Other services	22	23	13	6	4	5	2
Investment income and transfers	—13	—20	—31	—36	—46	—62	—64
CURRENT BALANCE	—92	—21	—175	—189	—197	—143	76
Long-term borrowing	84	160	237	135	161	204[3]	296
Amortisation of long-term loans	—42	—51	—71	—85	—84	—119	—144[3]
Long-term export credits (net)	..	..	—10	—21	—19	—10	—40
Other long-term capital items[1] (net)	—3	—7	—3	1	—10	4	—19
Short-term capital[2]	38	—46	78	70	39	—30	35
NON-MONETARY TRANSACTIONS	—13	35	56	—88	—111	—94	205
Change in reserves of							
Central Bank (incl. IMF credit tranche)	—13	35	56	—63	—100	—88	221
Other	..	..	..	—25	—11	—7	—16

1 Including direct investment.
2 Including errors and omissions.
3 Excluding IMF credit tranche drawings (1967) and repayments (1968).
Source : Monthly Bulletin, Central Bank.

Table H Quarterly National Accounts

	Gross domestic product by industries Volume indices, 1954 = 100, seas. adjusted										National income Mk. million					
		of which :											Net national income			
														of which :		
	Gross domestic product total	Mining and manufacturing el., gas	Agriculture	Forestry	Dwelling construction	Other build. and constr.	Transports and comm.	Commerce banking insurance	General government	Other services	Net dom. prod. factor cost	Net factor payments to rest of world	Total	Wages and salaries	Employers contr. to soc. sec.	Other factor incomes
	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16
1961	141.0	154.2	120.2	127.2	133.0	132.3	148.2	155.8	134.8	137.1	13 874	30	13 843	7 111	778	5 954
1962	146.0	164.6	117.5	119.4	133.3	137.0	156.3	168.3	140.4	143.8	14 868	47	14 821	7 764	957	6 100
1963	150.2	172.4	116.4	118.9	136.4	144.9	161.8	174.1	146.2	153.6	16 476	70	16 406	8 600	1 174	6 632
1964	158.8	182.6	125.7	129.5	137.4	150.0	170.0	183.2	154.4	160.8	18 872	101	18 771	10 000	1 399	7 372
1965	167.1	195.7	120.3	132.7	154.9	155.3	179.9	198.3	162.1	168.2	20 691	131	20 560	11 142	1 582	7 836
1966	170.0	204.8	122.9	112.8	155.2	159.6	185.0	201.4	168.9	174.8	22 179	150	22 029	12 221	1 751	8 057
1967	174.9	210.5	121.3	113.7	162.0	158.9	185.1	206.2	175.2	179.9	23 997	209	23 788	13 280	2 033	8 475
1968	179.2	218.1	122.5	122.0	151.0	161.4	193.1	202.7	181.3	186.3	26 551	262	26 289	14 768	2 267	9 254
Quarterly																
1965 1	165.2	192.0	116.2	137.8	136.6	151.0	179.5	196.0	158.3	168.1	5 130	31	5 099	2 655	375	2 069
2	169.4	196.9	117.6	144.8	162.5	155.8	179.8	200.4	161.0	166.1	5 031	35	4 996	2 774	392	1 830
3	168.5	199.6	122.5	134.6	158.2	158.9	180.0	197.1	163.4	167.8	5 300	27	5 273	2 819	403	2 051
4	166.6	194.8	115.8	119.7	160.9	155.2	179.8	198.8	165.6	170.8	5 230	38	5 192	2 894	412	1 886
1966 1	165.6	199.0	122.1	105.2	145.3	159.7	181.3	202.0	166.8	171.8	5 299	38	5 261	2 815	401	2 045
2	169.3	204.0	121.2	119.6	139.8	159.8	185.4	199.1	167.9	173.8	5 378	36	5 342	3 001	429	1 912
3	170.8	204.7	120.6	117.6	154.2	157.4	184.9	201.6	169.5	175.7	5 699	39	5 660	3 140	451	2 069
4	175.7	211.3	121.2	126.4	182.6	160.1	187.7	201.6	171.3	177.8	5 803	37	5 766	3 265	470	2 031
1967 1	177.0	213.0	118.9	120.6	182.7	162.2	190.0	208.6	172.9	179.0	5 904	57	5 847	3 187	488	2 172
2	173.0	207.8	117.2	117.9	163.9	161.8	182.8	202.9	174.1	180.6	5 939	39	5 900	3 350	513	2 037
3	174.0	210.9	122.0	111.6	150.7	158.0	184.6	208.5	175.9	182.1	6 055	63	5 992	3 340	511	2 141
4	174.4	214.4	121.1	116.1	134.1	156.1	185.5	210.4	177.5	184.4	6 099	50	6 049	3 403	521	2 125
1968 1	173.0	215.0	120.8	113.7	131.9	156.7	186.0	197.9	179.0	186.1	6 326	64	6 262	3 469	535	2 258
2	177.0	217.3	118.8	118.2	140.5	166.9	193.7	198.4	180.4	187.2	6 523	71	6 452	3 683	566	2 203
3	177.8	217.4	122.4	107.0	149.2	159.8	199.3	206.0	181.9	189.6	6 795	67	6 728	3 734	571	2 423
4		225.5									6 907	60	6 847	3 882	595	2 370
1969 1											7 053	68	6 985	3 899	604	2 482

Sources : Economic Indicators for Finland (Central Bank), Submission from Central Bank, Statistical Reports, National Accounting 1964-1968/II and National Accounting in Finland 1948-1964.

Table I **Labour Market**

	Labour Force Surveys								Registered unemployment		Employment Exchange Service					
	Labour force		Employment		Labour input		Unemployment (per cent of labour force)		Total	*of which:* insured	Applications for employment			Jobs reported vacant		
											During period		Outstandg[1]	During period		Outstandg[1]
	Orig.	Adj.	Orig.	Adj.	Orig.	Adj.	Orig.	Adj.			Orig.	Adj.	Orig.	Orig.	Adj.	Orig.
	1 000 persons				1 000 man-years		Per cent		1 000 persons		1 000 persons			Thousands		
	17	18	19	20	21	22	23	24	25	26	27	28	29	30	31	32
1961	2 142	..	2 116	..	1 828	..	1.2	..	8.2	2.2	..	..	..	26.9	..	8.8
1962	2 168	..	2 141	..	1 863	..	1.2	..	10.3	4.0	41.5	..	14.1	31.3	..	8.5
1963	2 161	..	2 129	..	1 853	..	1.5	..	18.6	8.6	57.3	..	24.9	30.5	..	5.7
1964	2 186	..	2 153	..	1 878	..	1.5	..	22.8	10.5	68.0	..	29.2	32.0	..	5.0
1965	2 202	..	2 171	..	1 895	..	1.4	..	25.4	11.8	75.4	..	33.2	33.6	..	5.2
1966	2 215	..	2 180	..	1 904	..	1.6	..	29.1	13.8	81.0	..	36.3	35.0	..	6.0
1967	2 209	..	2 146	..	1 845	..	2.9	..	46.2	20.9	106.3	..	55.4	32.3	..	5.1
1968	2 199	..	2 110	..	1 762	..	4.0	..	61.1	..	117.3	..	73.5	30.4	..	5.1
Quarterly																
1965 1	2 143	2 196	2 104	2 171	1 860	1 885	1.8	1.2	28.8	15.0	78.1	67.3	36.7	29.0	35.0	4.9
2	2 218	2 206	2 191	2 174	1 924	1 899	1.2	1.5	22.1	9.5	78.1	75.3	25.1	40.3	33.0	5.0
3	2 282	2 212	2 257	2 176	1 876	1 911	1.1	1.6	19.4	7.3	63.9	80.7	28.5	35.1	33.7	5.8
4	2 180	2 206	2 147	2 172	1 918	1 885	1.5	1.5	31.3	15.4	81.7	77.6	42.7	30.1	33.7	3.8
1966 1	2 151	2 206	2 102	2 173	1 880	1 904	2.3	1.7	38.1	22.1	90.8	83.8	43.1	28.5	33.7	5.1
2	2 228	2 216	2 196	2 179	1 922	1 894	1.4	1.6	25.1	11.2	84.1	82.8	23.6	42.9	35.0	6.5
3	2 288	2 216	2 264	2 180	1 873	1 915	1.0	1.5	18.9	7.1	62.0	76.0	28.8	36.8	35.0	7.7
4	2 194	2 219	2 158	2 184	1 939	1 901	1.6	1.6	34.4	15.0	87.1	83.0	48.2	31.6	35.3	4.7
1967 1	2 150	2 208	2 087	2 162	1 845	1 868	2.9	2.1	48.0	24.4	104.4	94.5	57.1	30.7	36.0	6.2
2	2 223	2 210	2 173	2 156	1 885	1 856	2.2	2.6	37.6	16.1	105.9	100.6	36.5	39.1	32.7	5.0
3	2 280	2 207	2 225	2 141	1 775	1 820	2.4	3.4	35.9	14.6	88.8	112.3	49.4	32.2	30.7	4.8
4	2 184	2 209	2 099	2 122	1 877	1 836	3.9	3.9	63.3	28.4	126.0	119.9	78.6	27.1	30.2	3.3
1968 1	2 149	2 207	2 034	2 109	1 777	1 798	5.4	3.8	76.2	..	130.4	113.5	92.9	24.0	28.3	4.5
2	2 209	2 197	2 122	2 106	1 784	1 754	3.9	4.5	55.2	..	122.0	118.1	51.1	35.9	30.0	5.1
3	2 269	2 197	2 193	2 109	1 670	1 716	3.3	4.7	48.1	..	99.6	125.5	62.4	33.0	31.7	5.8
4	2 170	2 193	2 091	2 113	1 817	1 772	3.6	3.8	65.0	..	117.1	111.8	80.3	28.6	32.0	5.2
1969 1																

1 Yearly: average of end of month figures; quarterly figures: end of period.

Sources : Bulletin of Statistics and Economic Indicators for Finland.

Table J Production and Employment by Sectors

	Industry													Forestry		
	Industrial production (seasonally adjusted)[1] 1954 = 100											Employment (thous.)				
			Manufacturing									Acc. to labour force survey		Timber fellings[2] (mill. piled m³)		
	Industrial prod. total	Mining	Total (unadjusted)	Food beverages tobacco	Textiles	Clothing footwear	Wood products	Paper and paper prod.	Chemicals	Metals and metal prod.	Elec., gas, waterworks	Number of persons	Man-years (man-months)	Orig.	Adj.	Labour force in logging for sale
	ISIC	1	2-3	20-22	23	24	25	27	31	34-38	5					1000pers.
	33	34	35	36	37	38	39	40	41	42	43	44	45	46	47	48
1961	154.2	182.2	151.2	144.3	125.5	142.9	118.3	196.4	157.4	157.0	174.6	476	443	49 004	..	..
1962	164.6	187.1	159.7	150.9	136.2	150.6	112.0	204.1	179.8	173.1	193.4	501	467	47 264	..	..
1963	172.4	199.8	165.8	163.5	126.8	148.5	118.1	223.6	211.1	167.7	222.2	497	458	47 786	..	..
1964	182.6	206.1	177.9	165.1	136.5	144.4	124.6	244.9	245.8	176.3	224.1	501	462	53 201	..	..
1965	195.7	220.5	191.2	178.2	131.3	142.9	129.4	263.1	273.4	192.4	240.0	512	471	53 134	..	
1966	204.8	200.7	199.7	189.2	143.8	159.3	117.1	276.1	287.9	194.5	264.1	535	492	46 507	..	
1967	211.7	211.7	204.5	199.2	141.3	175.9	115.9	262.6	315.6	198.6	280.4	537	476	44 963	..	
1968	218.9	207.8	210.5	206.2	137.5	168.7	120.9	278.1	332.1	202.2	298.3	530	446	47 733	..	
Quarterly																
1965 1	192.0	215.8	190.6	178.0	130.2	134.6	132.2	259.8	262.0	185.9	234.2	495	471	5 753	4 617	..
2	196.9	225.1	187.4	181.7	127.8	141.7	130.5	268.3	271.3	194.4	237.0	520	486	6 511	4 586	..
3	199.6	222.5	179.3	178.9	151.2	143.6	129.9	267.0	278.2	200.1	252.1	530	447	2 109	4 671	43
4	194.8	214.0	197.5	174.5	127.8	149.2	126.9	257.0	282.8	191.4	235.9	505	482	3 338	3 980	88
1966 1	199.0	204.4	198.7	186.2	135.6	147.9	120.6	259.6	279.1	194.5	257.5	511	493	4 386	3 611	108
2	204.0	201.8	196.7	190.2	142.4	155.7	120.8	279.6	284.8	192.6	261.8	543	500	6 054	3 992	51
3	204.7	189.5	185.4	188.6	143.5	157.9	115.8	277.0	291.2	191.1	265.3	563	462	1 778	3 752	39
4	211.3	197.4	214.8	190.6	149.3	169.5	111.5	290.0	295.5	195.4	271.6	546	513	3 284	3 932	80
1967 1	213.0	208.6	208.8	193.9	143.3	180.8	117.6	276.1	314.3	199.5	273.0	533	490	4 647	3 856	109
2	207.8	207.8	206.3	194.0	138.7	173.7	111.9	262.7	305.1	196.0	280.0	545	493	5 358	3 838	45
3	210.9	231.2	188.6	203.0	133.6	169.2	115.3	260.9	311.0	191.6	283.0	551	428	3 304	3 848	35
4	214.4	211.2	215.6	203.8	139.3	170.1	112.0	256.6	328.1	200.2	286.0	527	494	3 175	3 817	71
1968 1	215.0	206.6	216.4	197.7	136.3	165.0	116.1	270.0	320.1	199.3	294.1	511	462	4 461	3 727	95
2	217.3	204.9	207.9	207.8	138.0	160.7	119.2	280.0	323.9	199.7	285.3	531	452	5 530	3 725	40
3	217.4	207.2	192.2	210.1	135.2	166.8	119.2	276.4	342.2	200.4	299.8	546	392	1 662	3 579	32
4	225.5	217.1	224.9	207.9	135.4	179.5	131.1	288.6	343.3	203.4	312.7	543	477	4 258	5 062	83
1969 1	232.1	229.0		217.1	145.9	171.0	136.6	299.1	323.7	212.1	323.6					96

1 Yearly figures are unadjusted; the global index for manufacturing wholly unadjusted (to be revised).
2 Quarterly figures are indicated as monthly rates.

Sources: Statistical Bulletin, Central Bureau of Statistics and Economic Indicators for Finland, Central Bank.

Table J **Production and Employment by Sectors** *(cont.)*

	Agriculture			Building and construction								Commerce				
	Production		Employment[2]	Building permits granted		Buildings starts		Work in progress end of per.		Dwellings completed (thous. dwellings)	Employment[2]	Retail sales			Passenger car registrations (thous. cars)	Employment in commerce[1,2]
	Quantity of milk received by dairies (mill. liter)			Total	*of which:* Dwellings	Total	*of which:* Dwellings	Total	*of which:* Dwellings			Value 1954 = 100	Volume 1954 = 100			
	Orig.	Adj.		mill. cu. m.									Orig.	Adj.		
	49	50	51	52	53	54	55	56	57	58	59	60	61	62	63	64
1961	2 615	..	619	28.16	12.32	24.67	10.74	22.09	9.50	37.3	186	175	139.9	..	27.8	249
1962	2 661	..	581	29.75	15.20	25.34	13.41	25.53	12.66	37.4	199	193	148.6	..	41.0	268
1963	2 797	..	584	26.99	12.06	22.16	9.63	25.16	10.51	44.1	190	207	150.2	..	52.2	275
1964	2 886	..	548	29.23	11.73	25.60	10.84	28.55	11.84	35.4	193	221	148.6	..	82.1	290
1965	2 901	..	539	31.71	12.12	27.59	11.13	31.41	12.31	36.7	199	248	158.7	..	100.1	303
1966	2 876	..	525	36.70	15.98	31.19	14.02	36.19	14.81	36.5	200	265	163.2	..	78.9	304
1967	2 809	..	491	28.82	11.51	25.61	10.84	31.40	13.30	36.8	199	287	169.4	..	65.8	309
1968	2 909	..	459	31.58	14.00						185	312	167.1	..	48.4	312
Quarterly																
1965 1	640	731	464	5.50	1.88	3.91	1.69	28.31	11.59	6.8	177	205	134.2	155.8	14.0	290
2	865	724	557	10.41	3.96	9.44	4.47	32.68	14.12	7.6	205	254	170.2	160.6	30.3	302
3	793	724	604	9.33	3.20	9.64	3.11	35.65	14.73	8.3	220	245	147.9	159.5	30.1	318
4	600	719	542	6.47	3.04	4.60	1.86	31.31	12.31	13.9	194	288	182.5	158.7	25.8	301
1966 1	630	722	474	7.13	2.91	4.38	2.26	30.31	11.83	7.8	173	219	139.7	162.0	17.7	294
2	834	723	533	10.40	4.17	10.69	4.48	36.69	14.39	6.7	204	266	170.0	160.8	22.8	307
3	795	723	587	8.61	3.21	8.80	3.28	38.79	15.42	7.8	217	263	152.9	165.0	22.5	317
4	586	702	511	10.49	5.65	7.32	4.00	36.19	14.81	14.2	206	312	190.4	165.1	16.0	297
1967 1	592	682	433	4.34	1.35	3.34	1.20	33.15	13.14	8.0	183	241	144.7	167.5	13.0	296
2	821	686	500	9.03	3.72	8.48	3.96	34.14	14.68	8.0	209	291	176.8	168.0	22.7	313
3	788	712	554	7.30	3.26	6.91	2.74	33.00	14.79	8.5	213	280	156.1	168.4	18.0	324
4	608	727	475	8.15	3.18	6.88	2.94	31.40	13.30	12.4	192	338	199.9	173.1	12.2	304
1968 1	624	722	411	4.34	1.72	3.02	0.80	29.47	11.84	7.0	161	266	145.5	168.6	6.2	303
2	869	728	473	8.87	3.80	10.08	4.85	33.70	14.28	8.2	186	310	171.9	163.4	18.1	316
3	805	726	518	9.40	4.31	8.23	3.42	34.29	14.54		209	313	157.3	169.7	12.1	333
4	611	730	434	8.97	4.17						186	360	193.7	167.9	12.0	305
1969 1	624		394	5.35	2.10							292	155.7		15.0	

1 Including banking and insurance.
2 According to labour force surveys, thous. persons.
Sources: Statistical Bulletin, Central Bureau of Statistics and Economic Indicators for Finland, Central Bank.

Table K Foreign Trade by Area

$ mill. monthly rates

	Imports, c.i.f.								Exports, f.o.b.							
	Total		By area						Total		By area					
			OECD countries				East. Europe and China	Other countries			OECD countries				East. Europe and China	Other countries
	Orig.	Adj.	Total	EEC	EFTA	Other OECD			Orig.	Adj.	Total	EEC	EFTA	Other OECD		
	65	66	67	68	69	70	71	72	73	74	75	76	77	78	79	80
1963	100.7	..	..	30.1	32.8	..	21.1	..	95.8	..	..	28.4	29.8	..	20.0	..
1964	125.4	..	87.0	37.2	40.1	9.7	26.7	11.4	107.6	..	79.0	32.8	36.7	9.5	18.8	9.4
1965	137.1	..	101.6	42.2	46.9	12.6	25.4	9.7	118.9	..	83.9	33.3	39.3	11.3	25.0	9.7
1966	143.9	..	104.5	40.9	51.3	12.4	28.1	10.8	125.4	..	91.4	34.4	44.2	12.7	23.6	10.1
1967	140.7	..	100.6	38.6	50.9	11.3	28.0	12.2	127.0	..	89.2	30.0	47.1	12.2	27.4	10.3
1968	132.7	..	94.6	35.1	49.5	10.1	27.6	10.5	136.3	..	99.9	33.5	53.5	12.8	12.8	10.2
Quarterly																
1965 1	129.6	135.5	97.4	41.5	43.6	12.1	23.3	8.5	96.1	119.5	69.8	27.7	32.1	10.0	18.0	8.1
2	145.5	140.6	107.7	46.6	46.9	14.3	27.1	10.4	118.9	118.1	82.4	31.9	38.0	12.7	26.0	10.1
3	133.2	139.2	97.6	41.8	44.2	11.4	25.5	9.7	126.1	120.5	91.2	35.9	44.5	10.7	24.3	10.1
4	139.9	130.8	103.7	38.7	52.6	12.6	25.5	10.2	134.6	120.5	91.9	37.5	42.6	11.9	31.9	10.4
1966 1	129.6	134.8	95.5	39.7	43.1	12.8	24.4	9.2	91.5	112.7	67.7	24.9	33.0	9.8	16.1	7.5
2	144.7	140.9	110.1	44.5	52.9	12.6	22.5	11.5	129.9	129.0	98.4	35.6	49.1	13.7	20.1	10.9
3	141.1	149.6	98.0	37.8	49.9	10.4	30.1	12.5	132.8	129.8	95.8	35.3	47.2	13.3	25.5	11.0
4	160.1	146.5	114.3	41.5	59.1	13.7	35.2	10.1	147.4	129.7	103.4	41.7	47.5	14.1	32.7	10.9
1967 1	140.1	144.9	102.7	41.6	48.8	12.2	26.2	10.8	113.3	139.2	79.0	28.2	40.1	10.7	25.0	8.8
2	144.9	142.2	104.6	38.9	53.5	12.4	25.4	14.3	131.2	130.0	89.2	30.1	45.9	13.2	30.3	11.3
3	130.4	140.2	92.4	37.4	45.2	9.3	27.3	10.3	130.2	129.5	93.2	29.8	51.2	12.4	25.8	10.6
4	147.6	132.5	102.5	36.5	54.6	11.3	32.9	13.3	133.5	115.8	95.5	31.8	51.1	12.5	28.6	10.5
1968 1	119.8	123.5	84.2	31.4	44.3	8.7	27.2	8.5	111.2	136.5	85.4	27.2	47.4	10.8	17.6	7.6
2	144.6	142.6	103.2	38.1	53.9	11.1	28.6	12.8	144.0	142.5	97.1	32.4	50.3	14.5	36.0	11.4
3	118.5	128.4	81.7	30.8	42.5	8.5	26.1	10.7	134.1	134.7	101.1	33.8	54.2	13.0	22.3	10.9
4	148.1	131.2	109.6	40.0	57.5	12.0	28.6	9.9	155.9	134.4	116.0	40.8	62.2	12.9	29.1	10.9
1969 1																

Source : Monthly Bulletin of Foreign Trade and Economic Indicators for Finland.

Table L **Imports : Prices and Commodity Groups**

	Import prices (Markka) 1949 = 100				Volume of imports 1954 = 100						Value of imports Mk. million					
	Total	Crude materials	Simply processed goods	Finished goods etc.	Total		Raw materials[1]	Fuels and lubricants[1]	Investment goods[1]	Consumer goods[1]	Total	Raw materials etc.	Fuels and lubricants	Investment goods	Passenger cars	Misc. cons. goods
					Orig.	Adj.	Adj.	Adj.	Adj.	Adj.						
	81	82	83	84	85	86	87	88	89	90	91	92	93	94	95	96
1961	173	178	163	181	177.9	..	152.8	160.4	225.8	230.9	3 690	1 711	330	940	94	615
1962	176	181	160	190	187.4	..	158.6	182.0	237.0	244.9	3 929	1 762	371	984	161	650
1963	183	190	169	192	182.3	..	162.4	184.1	204.9	246.1	3 867	1 827	373	843	161	662
1964	196	201	186	202	221.8	..	178.6	258.7	261.3	298.5	4 816	2 111	508	1 097	299	801
1965	193	202	171	208	245.4	..	208.0	259.7	303.0	309.8	5 265	2 361	515	1 183	328	878
1966	191	205	164	208	254.5	..	218.4	305.4	278.8	359.3	5 524	2 450	590	1 198	251	1 036
1967	201	212	175	219	255.2	..	216.6	327.6	269.3	365.6	5 794	2 546	668	1 245	218	1 117
1968	243	256	218	260	243.3	..	215.1	342.9	223.4	338.1	6 689	3 002	874	1 327	197	1 289
Quarterly																
1965 1	193	199	176	208	232.7	242.5	206.4	249.8	315.3	294.8	1 244	556	111	365	86	212
2	194	231	171	207	270.8	251.7	211.2	282.7	303.9	330.9	1 399	582	131	450	140	236
3	192	231	169	209	229.2	247.2	211.0	263.4	292.4	316.4	1 280	607	134	338	54	201
4	191	232	167	209	248.7	236.6	199.5	249.2	290.0	299.3	1 344	618	139	358	49	229
1966 1	191	231	165	207	226.9	235.6	203.1	274.7	257.1	336.5	1 244	544	117	273	61	249
2	191	233	164	208	266.6	249.7	211.6	288.1	295.1	332.3	1 390	569	132	322	108	257
3	190	233	162	207	242.0	261.5	221.8	338.8	268.1	385.8	1 354	635	166	274	37	242
4	190	234	162	208	282.6	266.5	229.3	321.5	281.1	388.9	1 537	701	174	329	44	288
1967 1	190	228	165	206	258.4	267.5	219.2	335.0	299.0	389.1	1 345	557	142	310	60	276
2	188	233	162	207	260.3	245.8	213.9	331.5	248.1	353.2	1 391	600	150	301	79	262
3	187	233	161	206	225.6	244.4	210.4	312.1	258.0	345.3	1 252	580	153	241	48	231
4	237	289	210	257	276.6	257.8	215.7	339.1	265.3	371.2	1 807	810	223	393	32	348
1968 1	239	288	209	258	216.7	224.1	201.3	369.8	184.8	312.6	1 510	662	212	288	34	314
2	242	287	217	258	276.7	262.5	245.2	383.3	223.2	358.9	1 821	823	228	359	72	338
3	244	292	223	260	209.2	226.9	196.0	315.6	216.6	313.3	1 493	683	215	276	42	277
4	248	260	224	264	270.5	250.5	209.4	317.4	258.9	361.6	1 864	834	218	402	50	361
1969 1																

1 Yearly figures are unadjusted.

Source : Monthly Bulletin of Foreign Trade, Bulletin of Statistics and Economic Indicators for Finland.

Table M Exports : Prices and Commodity Groups

	Prices 1949 = 100		Volume of exports 1954 = 100							Value of exports Mk. million						
			Total		Wood ind. prod.[1]	Paper ind. prod.[1]	Metal and engin. prod.[1]	Forest-ry prod.[1]	Other prod.[1]				Manufactured products			
														of which :		
	Total	*of which :* Pulp	Orig.	Adj.	Adj.	Adj.	Adj.	Adj.	Adj.	Total	Agri-cult-ural prod.	Forest-ry prod.	Total	Wood ind. prod.	Paper ind. prod.	Metal and engin. prod.
	97	98	99	100	101	102	103	104	105	106	107	108	109	110	111	112
1961	217	255	160.6	..	127.4	186.9	131.0	150.1	232.5	3 374	153	296	2 923	841	1 539	386
1962	212	206	171.6	..	119.6	199.6	227.0	96.3	245.2	3 533	144	190	3 197	770	1 589	663
1963	218	211	174.8	..	121.3	219.0	196.2	60.0	271.2	3 678	165	113	3 399	812	1 752	614
1964	237	229	185.6	..	124.5	242.4	181.5	41.5	336.7	4 132	230	90	3 810	896	2 020	610
1965	249	234	197.7	..	115.0	261.8	214.7	29.2	386.6	4 566	252	60	4 252	920	2 166	800
1966	244	224	208.1	..	109.8	280.9	232.3	30.8	415.8	4 817	264	59	4 492	863	2 297	877
1967	257	239	221.2	..	107.9	275.8	296.4	27.1	524.2	5 231	261	54	4 911	866	2 384	1 081
1968	303	276	246.8		123.8	293.8	349.8	25.3	616.6	6 870	324	56	6 485	1 158	2 994	1 566
Quarterly																
1965 1	251	237	166.4	204.7	131.3	260.7	231.3	42.1	363.3	923	64	8	850	138	502	146
2	252	237	204.8	198.0	113.7	267.2	202.2	33.4	389.9	1 141	65	15	1 061	214	554	204
3	248	232	198.5	192.6	117.4	263.4	191.9	28.9	356.9	1 210	52	23	1 135	317	549	172
4	245	232	221.0	201.8	112.0	259.7	237.7	28.6	428.5	1 291	72	13	1 206	250	561	279
1966 1	244	225	152.6	186.3	101.1	248.0	185.5	23.3	394.1	879	84	5	790	115	476	122
2	244	225	218.4	210.4	117.3	294.8	224.6	42.1	341.3	1 247	60	17	1 170	221	608	231
3	244	224	220.0	215.2	113.7	290.8	248.7	29.6	443.9	1 276	52	21	1 202	289	598	193
4	242	223	241.5	220.3	110.3	291.4	265.2	35.5	469.3	1 416	68	16	1 330	238	615	330
1967 1	244	223	192.8	235.4	124.7	300.5	317.0	39.4	463.2	1 087	57	8	1 022	135	568	212
2	242	222	227.9	218.7	112.0	260.0	296.1	34.8	573.3	1 258	71	16	1 172	215	553	269
3	240	216	221.6	218.1	103.0	270.8	322.6	27.3	511.2	1 250	47	18	1 185	250	561	232
4	304	296	242.7	221.2	108.5	278.6	281.2	23.4	536.3	1 635	86	12	1 533	267	702	368
1968 1	303	270	205.6	250.7	125.3	277.0	428.0	30.8	666.9	1 401	97	8	1 296	164	659	311
2	303	277	269.5	258.1	132.9	300.3	378.0	31.5	669.8	1 815	74	15	1 725	305	771	462
3	302	277	234.9	231.9	116.4	294.9	301.8	23.2	540.2	1 690	66	18	1 604	344	760	311
4	303	278	277.1	252.4	131.9	305.8	340.1	29.0	600.3	1 963	86	14	1 862	345	805	481
1969 1																

1 Yearly figures are unadjusted.

Sources : Monthly Bulletin of Foreign Trade, Bulletin of Statistics and Economic Indicators for Finland.

Table N Prices and Wages

	Consumer prices, 1957 = 100						Wholesale prices 1949 = 100			Building cost 1954 = 100	Wage and salary earners' average earnings[1], 1964 = 100					
												of which:				
	Total	Food	Rent	Heating and light	Clothing and footwear	Misc.	Total	Domestic goods	Imported goods		All wage and salary earners	Agriculture	Forestry	Manufacturing: Total	Manufacturing: *of which:* wage earners	Construction
	113	114	115	116	117	118	119	120	121	122	123	124	125	126	127	128
1961	110	110	115	97	109	111	200	202	194	128	76	76	71	78	78	76
1962	115	115	121	100	112	117	203	205	196	132	81	78	75	83	83	81
1963	121	120	128	105	115	123	210	212	201	140	88	88	85	89	89	89
1964	133	135	135	110	132	134	226	231	210	150	100	100	100	100	100	100
1965	140	144	140	111	135	141	236	242	214	158	109	115	112	109	109	109
1966	145	149	145	116	138	148	241	247	216	165	116	128	114	117	117	116
1967	153	156	151	126	143	160	248	254	225	175	127	139	124	127	128	126
1968	166	173	158	137	156	172	275	280	259	195	141	152	147	141	141	136
Quarterly																
1965 1	137	140	138	111	135	139	235	241	216	156	108	115	109	107	108	105
2	139	143	138	111	135	140	236	242	213	159	109	113	109	109	109	109
3	141	146	139	111	135	141	236	242	213	159	109	114	112	109	109	109
4	142	145	143	112	136	143	236	242	213	158	110	121	110	109	110	110
1966 1	142	145	143	113	136	145	240	246	214	159	111	121	106	111	111	108
2	145	149	144	114	137	146	239	246	216	164	117	130	121	116	117	115
3	146	150	145	115	139	149	242	249	217	167	119	128	122	119	120	120
4	148	150	149	121	140	153	242	249	216	168	119	130	118	120	120	122
1967 1	151	151	149	124	142	158	244	251	216	170	123	134	114	124	124	122
2	152	153	149	125	143	158	244	251	216	173	127	140	130	126	127	127
3	153	157	151	126	143	159	245	253	216	174	128	138	130	129	129	127
4	158	162	155	130	146	163	260	262	252	182	129	144	131	129	130	127
1968 1	163	166	157	138	151	170	270	274	257	189	136	147	125	137	137	130
2	166	173	156	137	156	172	275	279	260	194	140	150	149	139	139	135
3	168	176	159	137	157	172	277	282	258	197	144	153	160	143	144	139
4	168	177	161	138	158	172	279	284	260	200	144	159	153	144	145	141
1969 1	169	176	162	140	159	173	281	286	264	203	150	167	150	148	150	149

1 Average hourly earnings estimated as wage bill divided by employment in hours. Figures for 1968 are preliminary.

Source: Bulletin of Statistics and Economic Surveys.

Table O Money and Credit

Mk. million, end of period

	Central Bank						Commercial and Savings Banks[1]								Money supply IMF definition[2]	
				Claims on Finnish credit institutions			Lendings				Bank deposits					
								of which :			Sight deposits		Time deposits			
	Redis-count rate per cent	Net foreign assets	Net claims on Treas-ury	Total	of which : redis-count-ed bills	Net claims on the rest of the eco-nomy	Total	Com-mercial banks	Sav-ings banks	Net foreign assets (IMF def.)	Total	of which : Comm. banks	Total	of which : Comm. banks	Orig.	Adj.
	129	130	131	132	133	134	135	136	137	138	139	140	141	142	143	144
1961	6.75	637.2	32.5	233.0	294.6	175.2	7 280	3 048	1 818	—9	721	578	6 270	2 106	1 646	1 589
1962	7.00	573.4	23.4	351.1	401.2	129.0	8 042	3 300	2 019	—145	801	649	6 707	2 270	1 722	1 667
1963	7.00	699.1	18.7	319.8	325.3	149.9	8 573	3 473	2 135	—141	876	715	7 185	2 441	1 987	1 844
1964	7.00	882.2	3.5	381.8	448.4	168.5	9 729	3 916	2 318	—164	855	683	8 158	2 817	2 043	1 974
1965	7.00	843.4	—2.2	620.2	640.6	116.3	10 853	4 280	2 609	—214	844	666	9 199	3 160	2 085	2 015
1966	7.00	475.2	—29.4	885.4	915.2	191.9	12 110	4 868	2 951	—284	849	626	10 437	3 637	2 222	2 068
1967	7.00	370.5	—10.9	678.3	867.5	523.8	13 127	5 204	3 248	—444	834	650	11 538	4 081	2 183	2 136
1968	7.00	1 381.5	—357.3	436.5	617.7	447.2	13 903	5 593	3 443	—473	1 087	833	12 743	4 581	2 671	2 645
Quarterly																
1965 1	7.00	801.8	8.9	409.6	431.7	141.9	10 028	4 049	2 380	—152	838	680	8 563	2 917	1 997	1 992
2	7.00	655.7	—20.0	723.1	776.8	109.6	10 441	4 234	2 448	—115	824	662	8 565	2 954	2 024	2 001
3	7.00	611.5	—6.2	690.1	700.7	119.6	10 630	4 185	2 548	—135	867	688	8 707	2 988	2 000	2 007
4	7.00	843.4	—2.2	620.2	640.6	116.3	10 853	4 280	2 609	—214	844	666	9 199	3 160	2 085	2 008
1966 1	7.00	791.6	14.9	530.8	554.6	121.1	11 008	4 346	2 644	—217	765	598	9 591	3 274	1 935	2 021
2	7.00	685.9	15.2	729.8	766.3	145.0	11 423	4 576	2 716	—216	801	625	9 628	3 325	2 074	2 045
3	7.00	642.0	7.4	761.9	781.5	165.0	11 732	4 684	2 831	—236	803	609	9 852	3 408	2 031	2 049
4	7.00	475.2	—29.4	885.4	915.2	191.9	12 110	4 868	2 951	—284	849	626	10 437	3 637	2 222	2 068
1967 1	7.00	525.0	4.8	598.4	728.5	196.4	12 157	4 857	2 979	—338	801	617	10 783	3 724	2 043	2 068
2	7.00	507.5	4.9	628.3	775.1	227.6	12 436	5 015	3 063	—366	721	548	10 830	3 766	2 105	2 083
3	7.00	511.4	6.2	614.3	749.4	253.1	12 924	5 084	3 163	—398	763	572	10 998	3 821	2 016	2 035
4	7.00	370.5	—10.9	678.3	876.5	523.8	13 127	5 204	3 248	—444	834	650	11 538	4 081	2 183	2 159
1968 1	7.00	779.4	—165.3	508.2	697.0	347.2	12 994	5 202	3 242	—485	838	664	11 802	4 168	2 151	2 172
2	7.00	1 081.3	—270.2	493.9	694.8	312.3	13 186	5 289	3 297	—559	857	669	11 881	4 249	2 317	2 294
3	7.00	1 224.9	—323.4	526.4	677.8	356.3	13 466	5 389	3 372	—471	1 001	786	12 094	4 319	2 380	2 404
4	7.00	1 381.5	—357.3	436.5	617.7	447.2	13 903	5 593	3 443	—473	1 087	833	12 743	4 581	2 671	2 645
1969 1	7.00	1 525.1	—366.5	302.6	439.8	473.2	14 981	5 705	3 491	—457	1 163	923	13 018	4 637	2 555	

1 Including co-operative credit societies and mortgage banks.
2 Currency outside banks and sight deposits.

Sources : Bank of Finland Monthly Bulletin and International Financial Statistics.

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